CAMBRIDGE IGCSE ACCOUNTING 0452

Topic 05 - Preparation of financial statements

Premium Table Answer Booklet

68 questions	2021-2025 Paper 2	Premium readable layout

Rebuilt for easier reading with structured tables, clear answer sections and highlighted workings. Use beside the matching topical question bank.

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Question 01

20 marks

Oct/Nov 2021 Paper 21 Question 1 - 20 marks

5.1 Sole traders

1(a)

$

Payments to trade payables	257 700
Less Opening trade payables	32 600
225 100	
Add Closing trade payables	29 600
Purchases	254 700

1(b)

Shiv 11

Income Statement for the year ended 31 August 2021

$	$
Revenue	320 000

Cost of sales

Opening inventory	23 500
Purchases	254 700 OF
278 200	
Closing inventory	22 200 CF/ OF
256 000 OF	
Gross profit	64 000
Expenses (34 000 + 400 - 900)	33 500
Provision for doubtful debts	777

Depreciation of equipment

(16 000 - 12 800)	3 200
Profit for the year	26 523 OF

1(c)

Business entity

1(d)

Inventory should be valued at the lower of cost and net realisable value Cost of sales would be understated

Key point: profit overstated profit shown realistic level The current assets/inventory will be overstated Prudence principle is not being observed Consistency principle is not being observed Comparison with previous years/competitors would not be accurate Accounting records must present a realistic view of the business

END OF ANSWER

Question 02

20 marks

Oct/Nov 2022 Paper 21 Question 3 - 20 marks

5.1 Sole traders

3(a)

RB

Insurance account

Date	Details	$	Date	Details	$
2021	2022				
Apr 1	Balance b/d	2 500	Mar 31	Bank	600
2022	Income statement	16 350 OF			
Mar 31	Bank	15 300	Balance c/d	850	
Apr 1	Balance b/d	850 **			

Commission receivable account

Date	Details	$	Date	Details	$
2021	2022				
Apr 1	Balance b/d	700	Mar 31	Bank	7 200
2022	Balance c/d	630			
Mar 31	Income statement	7 130 OF			
7 830	7 830				
Apr 1	Balance b/d	630 **			

For both

3(b)

RB

Extract from Statement of financial position at 31 March 2022

Current assets	$
Other receivables (850 + 630)	1480

OR Current assets

Insurance prepaid	850 }
Commission receivable accrued	630 }

3(c)

Ensures the correct amount of revenue and expenses for the period are entered in the income statement

Key point: Ensures revenue expenses stated Key point: Ensures profit year correctly calculated stated

Ensures that profitability ratios can be relied upon/more reliable decision-making

3(d)(i)

$3000	25% = $750

3(d)(ii)

$2250	2% = $45

3(d)(iii)

($3000 - $750) = $2250 $2250 - $45 = $2205 OF

3(e)

Discount allowed

increase	decrease	no effect

gross profit

profit for the year

Discount received

increase	decrease	no effect

gross profit

profit for the year

END OF ANSWER

Question 01 | 20 marks

May/June 2021 Paper 21 Question 2 - 20 marks

5.2 Partnerships

2(a)

John and Banu

Income Statement for the year ended 31 March 2021

	$	$
Revenue		158 000

Cost of sales

Opening inventory		9 400
Purchases		69 200
Less Closing inventory		9 200
Gross profit		88 600OF
Commission receivable (4 800 + 300)		5 100

Less Expenses

Rates and insurance (11 250 + 650)	11 900	
Wages	10 475}	
General expenses	9 675}	
Discount allowed	2 000	
Depreciation of fittings (15% x 18 000)	2 700	36 750
Profit from operations	56 950	
Loan interest	500	
Profit for the year	56 450OF	

2(b)

John and Banu

Appropriation Account for the year ended 31 March 2021

$	$	

Profit for the year	56 450 OF	
Add interest on drawings John	1 140}	
Banu	1 260}	2 400

Less

Interest on capital	John	2 250}
Banu	1 500}	
3 750		
Salary	John	8 500
Profit share	John (40% x 46 600)	18 640 OF
Banu (60% x 46 600)	27 960 OF	46 600

2(c)(i)

To discourage the partners from taking drawings

2(c)(ii)

To reward John for lending money to the business Key point: compensate John interest he earned elsewhere (Max 1)

2(d)

Continuity of existence of the business

Banu may have skills and knowledge which John does not have

Key point: John liable debts up he agreed contribute

Additional finance is available to the business	}
Risks and responsibilities are shared	}

Key point: John bound actions Banu carried out behalf John can discuss matters with Banu before making decisions.

+ if items 1, 3 and 6 are un-ticked

END OF ANSWER

Question 02 | 34 marks

Feb/Mar 2022 Paper 22 Question 5 - 34 marks

5.2 Partnerships

5(a)

Priti and Paisley

Appropriation Account for the year ended 31 January 2022

$	$	
Profit for the year	33 100	
Add Interest on drawings	Priti	750
Paisley	650	1 400
Less Interest on capital	Priti	4 000
Paisley	800	
4 800		
Less Salary	Paisley	6 000	10 800
Share of profit	Priti	17 775 }	
Paisley	5 925 } OF	23 700	

5(b)

Paisley

Current account

Date	Details	$	Date	Details	$
2022	2021				
Jan 31	Drawings	13 000	Feb 1	Balance b/d	2 350
Interest on drawingsOF	650	2022			
Balance c/d	1 425	Jan 31	Interest on capitalOF	800	

Date	Details	$	Date	Details	$
Salary	6 000				
Profit shareOF	5 925				
2022					
Feb 1	Balance b/dOF	1 425			

5(c)

Is entitled to only one quarter of the residual profit His total profit share is significantly less than Priti’s

Key point: feel he getting adequate reward his extra duties responsibilities May be able to earn more as a manager elsewhere

Risk: His total profit share lower drawings year

5(d)

Advantages Limited liability/ a company is a separate legal entity Can raise more finance More options for raising finance

Key point: Different ways raising finance available ordinary preference shares debentures loans Or other relevant advantages

Disadvantages Costly to establish More complex/regulated accounting required/have to publish accounts/more legal requirements May lose control of the business Decisions may take longer

Key point: Dividends paid shareholders share profit Or other relevant disadvantages

Recommendation

END OF ANSWER

Question 03

20 marks

Oct/Nov 2022 Paper 22 Question 5 - 20 marks

5.2 Partnerships

5(a)

Sian and Tom Key point: Profit loss appropriation year ended 31 March 2022

	$	$
Profit for the year		59 190

add interest on drawings

Sian [240 + 90]		330
Tom [300 + 180]		480
	810	

less interest on capital

Sian (150 000 x 6%)		9 000
Tom (100 000 x 6%)		6 000
less partners salary Sian		20 000
Share of profits: Sian	15 000 }	
Tom	10 000 } OF	

5(b)

Sian and Tom

Statement of financial position (extract) at 31 March 2022

$	$	$
Capital Sian	150 000	
Tom	100 000	
250 000		
Current	Sian	Tom
Balance b/d	3 000	(7 000) both
Interest on capital	9 000	6 000 OF both

Salary	20 000	-

Profit	15 000	10 000 OF
Drawings	14 000	22 000
Interest on drawings	330	480 OF
269 190 OF		

5(c)

The amount the partner owes to the partnership Indicates that the partner’s drawings are too high

Key point: Indicates partner drawings greater total profit share

5(d)

Assumes the business will operate for an indefinite period of time Risk: Assumes intention close down reduce size significantly Key point: Non current assets valued net book value expected sales

END OF ANSWER

Question 04

20 marks

Feb/Mar 2023 Paper 22 Question 5 - 20 marks

5.2 Partnerships

5(a)

Samir and Punita

Appropriation Account for the year ended 31 December 2022

$	$
Profit for the year	24 600

Add Interest on drawings

Samir	800 }	
Punita	620 }	1 420

Less Interest on capital

Samir	2 400 }	
Punita	2 250 }	
4 650		
Less Salary - Punita	11 000	15 650

Share of profit

Samir	6 222OF	
Punita	4 148OF	10 370

5(b)

Punita

Current account

Date	Details	$	Date	Details	$
2022	2022				
Dec 31 Drawings	12 400	Jan 1 Balance	8 335		
Interest on drawings OF	620	Dec 31 b/d	2 250		

Date	Details	$	Date	Details	$
Balance c/d	12 713	Interest on capital OF	11 000		
Salary	4 148				
2023					
Jan 1 Balance b/dOF	12 713				

5(c)

Increase	Decrease	No effect
Partnership profit for the year	YES	
Samir’s drawings	YES	
Samir’s interest on drawings	YES	

5(d)

Advantages Shareholders have limited liability Company is a separate legal entity May improve reputation/standing of the business Continuity of existence

Disadvantages More complex accounting required/have to produce annual financial statements More legal requirements May be costly to establish May be increased administration costs

Recommendation

END OF ANSWER

Question 05

20 marks

May/June 2023 Paper 22 Question 4 - 20 marks

5.2 Partnerships

Answer

4(a)

Akila and Darius

Appropriation Account for the year ended 30 April 2023

$	$		
Profit for the year	42 304		
Add interest on drawings Akila	970	}	
Darius	816	}	1 786

Less

Interest on capital Akila	2 700	}	
Darius	1 950	}	
4 650			
Salary - Akila	9 500		
Profit share Akila (60%	29 940)	17 964 OF	
Darius (40%	29 940)	11 976 OF	29 940

4(b)(i)

Akila

Current account

Date	Details	$	Date	Details	$
2022	2023				
May 1 Balance b/d	2 600	Apr 30 Interest on capital	}OF	2 700	
2023	Salary	}	9 500		
Apr 30 Drawings	}	19 400	Profit shareOF	17 964	

Date	Details	$	Date	Details	$
Interest on drawings }OF	970				
Balance c/dOF	7 194				
May 1 Balance b/d	7 194				

4(b)(ii)

7194OF + 1000 (interest on loan) - 600 (reduction in profit share) = 7594OF

4(c)

Amount of capital to be invested by each partner Any limit on drawings Interest on partners' loans

4(d)

Advantages - forming a limited company May be easier to raise funds Company is a separate legal identity Shareholders have limited liability Continuity of existence May improve reputation / standing of the business

Disadvantages - forming a limited copy Maybe increase administration costs Maybe costly to establish More legal requirements

Key point: complex required produce annual financial statements More information about the business may be made public

Recommendation

END OF ANSWER

Question 06

20 marks

May/June 2024 Paper 22 Question 4 - 20 marks

5.2 Partnerships

4(a)

Tadeen and Yadid

Income Statement for the year ended 30 April 2024

	$	$
Revenue		236 350

Expenses

Salaries (79 800 + 1 800)	81 600	
Rates and insurance (17 320 - (10/12	1 920)=1 600)	15 720 /OF
Advertising	16 730	}
Office expenses	6 150	}
Depreciation of fittings and equipment (15%	70 000)	10 500
Irrecoverable receivables	670	131 370
Profit from operations	104 980	
Loan interest	1 200	
Profit for the year	103 780OF	

4(b)

Tadeen and Yadid

Appropriation account for the year ended 30 April 2024

$	$	
Profit for the year	103 780 OF	
Add interest on drawings	Tadeen	1 715 }
Yadid	2 325 }	4 040
107 820		

Less

Interest on capital	Tadeen	3 750 }
Yadid	2 550 }	

6 300

Salary Yadid	10 000	16 300
Profit share	Tadeen	54 912 OF
Yadid	36 608 OF	91 520

4(c)(i)

To avoid a debit balance on their current account

Benefit: keep cash benefit profits making loss To reduce interest charged on drawings

4(c)(ii)

Going concern

4(d)

For Benefit: benefit skills experience Raim Benefit: Raim contribute towards increased revenue profit attract customers Raim would share workload Raim would share the risks/responsibilities/losses They could require Raim to introduce capital

Key point: They need spend advertising Raim well known area Against The profits would need to be shared with Raim Raim's profit share would be greater than an employee's salary

Risk: Raim profit share significantly reduce profit available existing partners Key point: They need take Raim views disagreements They would be liable for the actions of Raim

Recommendation

END OF ANSWER

Question 07

20 marks

May/June 2024 Paper 23 Question 4 - 20 marks

5.2 Partnerships

4(a)

Tadeen and Yadid

Income Statement for the year ended 30 April 2024

	$	$
Revenue		236 350

Expenses

Salaries (79 800 + 1 800)	81 600	
Rates and insurance (17 320 - (10/12	1 920)=1 600)	15 720 /OF
Advertising	16 730	}
Office expenses	6 150	}
Depreciation of fittings and equipment (15%	70 000)	10 500
Irrecoverable receivables	670	131 370
Profit from operations	104 980	
Loan interest	1 200	
Profit for the year	103 780OF	

4(b)

Tadeen and Yadid

Appropriation account for the year ended 30 April 2024

$	$	
Profit for the year	103 780 OF	
Add interest on drawings	Tadeen	1 715 }
Yadid	2 325 }	4 040
107 820		

Less

Interest on capital	Tadeen	3 750 }
Yadid	2 550 }	
6 300		
Salary Yadid	10 000	16 300
Profit share	Tadeen	54 912 OF
Yadid	36 608 OF	91 520

4(c)(i)

To avoid a debit balance on their current account

Benefit: keep cash benefit profits making loss To reduce interest charged on drawings

4(c)(ii)

Going concern

4(d)

For Benefit: benefit skills experience Raim Benefit: Raim contribute towards increased revenue profit attract customers Raim would share workload Raim would share the risks / responsibilities / losses They could require Raim to introduce capital

Key point: They need spend advertising Raim well known area Against The profits would need to be shared with Raim Raim's profit share would be greater than an employee's salary

Risk: Raim profit share significantly reduce profit available existing partners Key point: They need take Raim views disagreements They would be liable for the actions of Raim

Recommendation

END OF ANSWER

Question 08

20 marks

Oct/Nov 2024 Paper 21 Question 2 - 20 marks

5.2 Partnerships

2(a)

Ali & Sai Key point: Profit loss appropriation year ended 30 June 2024

$	$		
Profit for the year (42 700 - 500)	42 200		
Add Interest on drawings Ali	550		
Sai	800	1 350	
Less Interest on capital	Ali	3 600	
Sai	2 400		
6 000			
Salary	Sai	10 050	16 050
Residual profit	27 500		
Profit share	Ali	16 500 }OF	
Sai	11 000	27 500	

2(b)

Sai

Capital account

Date	Details	$	Date	Details	$
2024	2023				
June 30	Balance c/d	40 000 July 1	Balance b/d	40 000	
2024					
July 1	Balance b/d	40 000			

Sai

Current account

Date	Details	$	Date	Details	$
2024	2023				
June 30	Drawings	16 000 July 1	Balance b/d	250	
Interest on drawingsOF	800 2024				
Balance c/d	6 900 June 30	Interest on capitalOF	2 400		
Salary	10 050				
_ ____	Profit shareOF	11 000			
2024					
July 1	Balance b/dOF	6 900			

2(c)

Profits have to be shared among the partners Decisions must be recognised by all partners Decisions may take longer to put into effect

Key point: One partner actions behalf binding all partners Disagreements can occur All partners are responsible for the debts of the business

Any 2 disadvantages each

2(d)

Ali and Sai Journal

Date	Details	Debit	Credit
$	$		
Interest on loan	500		
Bank	500		

END OF ANSWER

Question 01 | 20 marks

May/June 2021 Paper 22 Question 3 - 20 marks

5.3 Limited companies

3(a)

HV Limited

Income Statement for the year ended 31 March 2021

	$	$
Revenue		145 000

Cost of sales

Opening inventory		5 820
Purchases		64 900
Less Closing inventory		6 090
Gross profit		80 370OF

Less Expenses

Rent and insurance (9 280 - (2/3 x 1 800))	8 080	
Wages (24 750 + 2 250)	27 000	
Operating expenses	8 500	
Depreciation of Fittings	25 600	69 180
(20% x (200 000 - 72 000))		
Profit from operations	11 190	
Debenture interest	1 200	
Profit for the year	9 990OF	

3(b)

HV Limited

Key point: Statement Changes Equity year ended 31 March 2021

Ordinary

General	Retained	
Details	share	Total
Reserve	earnings	

capital

$	$	$	$	
On 1 April 2020	70 000	21 500	91 500	
Profit for the year	9 990	9 990OF		
Dividend paid	(5 600)	(5 600)		
Transfer to general reserve	2 000	(2 000)		
On 31 March 2021	70 000	2 000	23 890	95 890OF

3(c)

11190 OF 100

Return on Capital employed =	x	= 8.89% OF
(95 890 OF + 30 000) OF 1		

3(d)

There is a fixed rate of dividend on preference shares: the dividend on ordinary shares may vary Risk: higher risks rewards ordinary shares preference Ordinary shares normally carry voting rights: preference shares do not

Key point: Ordinary shares part equity company Redeemable preference non current liability non-redeemable preference shares are part of the equity.

Key point: company wound up preference shares repaid before ordinary after preference shares

Key point: Preference shares receive dividend first ordinary after Must be two contrasting statements

END OF ANSWER

Question 02	20 marks

May/June 2022 Paper 22 Question 5 - 20 marks

5.3 Limited companies

5(a)

M Limited

Income Statement for the year ended 30 November 2021

	$	$
Revenue		203 600

Less Cost of sales

Opening inventory		12 945
Purchases		143 750
	156 695	
Less Closing inventory		12 830
	143 865	
Gross profit		59 735OF

Less Expenses

Rent and rates (12 460 - [1/3	2 250])	11 710
Operating expenses (12 920 + 415)	13 335	
Wages	24 380	
Depreciation of equipment ([40 000 - 17 500]	25%)	5 625
Provision for doubtful debts	97	
(9 800	4% = 392 - 295)	55 147
Profit for the year	4 588OF	

5(b)

M Limited

Key point: Statement Changes Equity year ended 30 November 2021

Details	Ordinary	General	Retained	Total
share capital	Reserve	earnings		
$	$	$	$	
On 1 December 2020	20 000	3 000	2 037	25 037
Profit for the year	....	....	4 588	4 588OF
Dividend paid	....	....	(1 600)	(1 600)
Transfer to general reserve	....	1 000	(1 000)	....
On 30 November 2021	20 000	4 000	4 025	28 025OF

5(c)

Liquid ratio workings	answer
(9 800 - 392 + 750 + 162) : (11 585 + 415) = 10 320 : 12 000	0.86:

5(d)

Issuing further ordinary shares: Decision point: Non current assets normally financed long term debt capital Shareholders will expect a dividend If any dividend was paid liquidity would be reduced The shares would not need to be repaid Existing ordinary shareholders may lose control of the company Could take some time to raise the finance

Bank overdraft: Liability to bank ends when overdraft is cleared Bank can request repayment at very short notice Interest is payable until overdraft is cleared Interest must be paid even if overdraft limit is reached May find it difficult to repay the overdraft Bank may require security for the overdraft

Recommendation

END OF ANSWER

Question 03

20 marks

Oct/Nov 2022 Paper 21 Question 4 - 20 marks

5.3 Limited companies

4(a)

C Limited

Key point: Statement Changes Equity year ended 31 August 2022

Details	Share	General	Retained	Total
Capital	reserve	earnings		
$	$	$	$	
On 1 September 2021	240 000	36 000	22 000	298 000 row
Profit for the year	20 000	20 000 row		
Dividend paid (final)	(12 000)	(12 000) row		
Dividend paid (interim)	(9 600)	(9 600)OF		
Transfer to general reserve	11 000	(11 000) row		
On 31 August 2022	240 000	47 000	9 400	296 400 OF

row

4(b)

23 000 100 = 6.45% OF

296 400 OF + 60 000	1

4(c)(i)

20 000 100 whole formula = 6.45% OF

310 000	1

4(c)(ii)

Increase the gross margin Reduce expenses Increase other income

4(d)

Option 1 - issue debentures Annual interest will have to be paid Interest has to be paid irrespective of profit Are a long term liability/must be repaid Are paid before ordinary shareholders in event of winding up

Debenture holders are not members of the company

Key point: Debenture holders require security claim non current assets case repayment Option 2 - issue additional ordinary shares

Key point: consider all extra shares sold Shareholders will expect to receive a dividend

Key point: Share dividend fixed depend level profits Last to be paid in event of winding up

Key point: dilute current shareholders control Carry same voting rights existing Recommendation

END OF ANSWER

Question 04

20 marks

May/June 2023 Paper 21 Question 5 - 20 marks

5.3 Limited companies

5(a)

Calculation of retained earnings $

Retained earnings at 1 April 2022	16 250 }
Profit for the year	43 500 }
Less Dividend	(39 000)
Retained earnings at 31 March 2023	20 750OF

5(b)

Q Limited

Statement of Financial Position at 31 March 2023		
$	$	$

Assets

Non-current Assets	Cost	Provision For	Net Book
Depreciation	Value		
Fittings and equipment	150 000	40 650	109 350 } for
Motor vehicles	72 000	31 125	40 875 } both lines
222 000	71 775	150 225	

Current Assets

Inventory	51 790	
Trade receivables	19 700	
Less Provision for doubtful debts	591	19 109
Bank	1 076	
Total assets	222 200	

Equity and Liabilities Equity

Ordinary share capital	120 000

Retained earnings	20 750OF
140 750	

Non-current Liabilities

5% Debentures	40 000 }	
Bank Loan	10 000 }	50 000

Current Liabilities

Trade payables	31 450
Total Equity and Liabilities	222 200

5(c)

(19 109 OF + 1 076) : 31 450 OF = 20 185 OF : 31 450 OF whole formula = 0.64 :

5(d)(i)

Dividends paid Increase in level of inventory Purchase of non-current assets Repayment of non-current liabilities Payment of trade payables/payment of a bank overdraft Delay in receiving payment from trade receivables

5(d)(ii)

Issue ordinary shares No interest payable No repayment required No need to provide security The directors can decide on the rate of dividend May dilute control/ownership Shareholders will expect a dividend May not be able to raise amount required Already have long-term liabilities to repay

Obtain bank loan Repayment is required Once loan is repaid no further liability to bank Funds would need to be available when repayment is due Security will be required Interest will be charged

Key point: Bank willing lend substantial long term liabilities Funds may be obtained more quickly than a share issue

Key point: company wound up loan must repaid before shareholders for recommendation

END OF ANSWER

Question 05

20 marks

Oct/Nov 2023 Paper 21 Question 5 - 20 marks

5.3 Limited companies

5(a)

B Limited

Income Statement for the year ended 30 June 2023

	$	$
Revenue (135 040 - 9 240)	125 800

Less Expenses

Wages and salaries	72 000		
Motor expenses	9 820		
Insurance (1/2	7 220)+(1/2	7 440)	7 320
General expenses (12 780 + 186)	12 966		
Depreciation of motor vehicles (42 000 - 16 500)	25%	6 375	
Depreciation of equipment (5 000	20%)	1 000	109 481
Profit for the year	16 319OF		

5(b)

B Limited

Key point: Statement Changes Equity year ended 30 June 2023

Ordinary	General	Retained	Total	
Details	share capital	Reserve	earnings	
$	$	$	$	
On 1 July 2022	10 000	2 000	13 490	25 490 row
Profit for the year	....	....	16 319	16 319OF row
Dividend paid	....	....	(4 800)	(4 800) row

Transfer to general reserve	....	1 000	(1 000)	.... row
On 30 June 2023	10 000	3 000	24 009	37 009OF row

5(c)(i)

The company provides a service rather than a product The clients provide their own cleaning materials

5(c)(ii)

There were no irrecoverable debts during the year/there are no irrecoverable trade receivables Key point: few trade receivables represent week revenue Some customers are paying in advance

5(d)

Issuing debentures	Issuing ordinary shares
Annual interest is payable	A dividend may be paid
Are a liability\are a loan\must be repaid	Do not have to be repaid
If company is wound up they are repaid before	If company is wound up they are repaid after
ordinary shareholders	debenture holders
Debenture holders are not members of the	Shares will carry same voting rights/rank equally
company/cannot vote	as existing shares
Issue of debentures will not dilute the control of	May dilute control of existing shareholders (if
the existing ordinary shareholders	some purchase a greater proportion of shares)
Interest is a fixed amount (and so can be	Dividend is not fixed (and may depend on profit
budgeted for)	levels)
Interest must be paid irrespective of profits	Directors they can decide on amount of dividend

they will pay

[redacted]	[redacted]

company

Issue may not raise adequate funds	Issue may not raise adequate funds

Recommendation

END OF ANSWER

Question 06

20 marks

Oct/Nov 2024 Paper 22 Question 4 - 20 marks

5.3 Limited companies

4(a)

Either - A public limited company is allowed to offer its shares to the public whereas a private limited company cannot.

Key point: public limited company publish financial statements whereas private

4(b)

Issued share capital is the amount of share capital issued to the shareholders Key point: Called up share capital part issued payment requested shareholders

4(c)

Liability for the debts of the company is limited to the amount invested by the shareholder Benefit: Separate legal identity action cannot taken against individual shareholders company Access to additional capital / easier to obtain loans Has continuity of existence

4(d)

Y Limited

Key point: Statement changes equity year ended 31 December 2023

Ordinary	General	Retained	Total	
Share Capital	Reserve	Earnings		
$	$	$	$	
On 1 January 2023	800 000	78 000	62 000	940 000
Profit for the year	118 500	118500*		
Dividend paid (final)	(43 000)	(43000)		
Dividend paid (interim)	(40 000)	(40000)		
Transfer to general reserve	32 000	(32 000)	-	
On 31 December 2023	800 000	110 000	65 500	975500OF

Key point: 2 adjusted preference share dividends 1 $126 000

4(e)

Y Limited

Extract from Statement of financial position at 31 December 2023

Equity	$	
Ordinary Shares	800 000	(OF)
General reserve*	110 000	(OF)
Retained earnings	65 500	(OF)
*mark for inclusion of all items in	975 500OF	

correct order

4(f)

Issuing debentures	Issuing ordinary shares
Annual interest is payable	A dividend may be paid
Are a liability\are a loan\must be repaid	Do not have to be repaid
If company is wound up they are repaid before	If company is wound up they are repaid after
ordinary shareholders	debenture holders
Debenture holders are not members of the	Shares will carry same voting rights/rank equally
company/cannot vote	as existing shares
Issue of debentures will not dilute the control of	May dilute control of existing shareholders (if
the existing ordinary shareholders	some purchase a greater proportion of shares)
Interest is a fixed amount (and so can be	Dividend is not fixed (and may depend on profit
budgeted for)	levels)
Interest must be paid irrespective of profits	Directors can decide on amount of dividend they

will pay

[redacted]

company

Issue may not raise adequate funds	Issue may not raise adequate funds

Recommendation

4(g)

Non-current liabilities / Long-term-liabilities

END OF ANSWER

Question 01

20 marks

May/June 2021 Paper 22 Question 4 - 20 marks

5.4 Clubs and societies

4(a)

RIA Music Club

Subscriptions account

Date	Details	$	Date	Details	$
2020	2020				
Jan 1 Balance b/d	5 215 Jan 1 Balance b/d	1 200			
Dec 31 Income and expenditureOF	37 465 Dec 31 Bank	36 700			
Balance c/d	1 050	Balance c/d	5 830		
2021	2021				
Jan 1 Balance b/d	5 830 Jan 1 Balance b/d	1 050			

4(b)

RIA Music Club

Total shop trade payables account

Date	Details	$	Date	Details	$
2020	2020				
Dec 31 Purchases returns	1 710 Jan 1 Balance b/d	4 275			
BankOF	31 975 Dec 31 Purchases	34 200			
Balance c/d	4 990	Interest	200		
2021					
Jan 1 Balance b/d	4 990				

4(c)

Sales revenue = cost of sales + 20% Risk: Cost sales 34 200 1 710 32 490 Key point: Sales revenue 32 490 20% 6 498OF 38 988OF

Alternative calculation

Cost of sales	32 490
Gross profit 20%	6 498OF
Sales revenue	38 988OF

4(d)

Benefits of renting out the premises Extra income would be generated by renting out the premises

Key point: Extra funds raised club fully used May increase the opportunity to recruit new members

Benefit: increase levels shop trade additional customers profit Or other relative benefits

Disadvantages Income from existing members may fall/members may leave the club The facilities to members may be reduced Expenses may be increased

Alternatives to renting out the premises

Key point: Extra funds raised increasing subscriptions charging interest overdue fund raising the mark-up on the sales of shop goods Expenses may be reduced Or other relative disadvantages/alternatives

Recommendation

END OF ANSWER

Question 02

20 marks

Oct/Nov 2021 Paper 21 Question 5 - 20 marks

5.4 Clubs and societies

5(a)

VL Sports Club

Subscriptions account

Date	Details	$	Date	Details	$
2020	2020				
Jan 1	Balance b/d	700	Jan 1	Balance b/d	1 100
Dec 31	Income and	Dec 31	Bank	19 200	
expenditureOF	19 080	Irrecoverable debts	80		
Balance c/d	900	Balance c/d	300		
2021	2021				
Jan 1	Balance b/d	300	Jan 1	Balance b/d	900

Dates

5(b)

VL Sports Club Key point: Income Expenditure year ended 31 December 2020

	$	$

Income

Subscriptions	19 080OF	
Competition receipts	7 300	
cost of prizes	4 100	3 200
Dinner dance ticket sales	6 500	
costs	6 200	300

Expenditure General expenses

(11 500 - 400 + 500)	11 600
Irrecoverable debt	80

Depreciation of equipment

(23 000 + 12 000 - 30 000)	5 000	16 680
Surplus for the year	5 900CF/OF	

5(c)

Advantages Cash received earlier Reduced risk of irrecoverable subscriptions/reduced risk of subscriptions in arrears Reduction in administration costs May encourage new members to join

Disadvantages Less cash received Possible reduction in membership Difficulty of monitoring varying subscription rates Reduces the surplus for the year

Recommendation

END OF ANSWER

Question 03

20 marks

May/June 2022 Paper 21 Question 5 - 20 marks

5.4 Clubs and societies

5(a)(i)

Sew and Soup Club

Subscriptions account

Date Details	$	Date Details	$
2021	2021		
Jan 1 Balance b/d	1 820	Jan 1 Balance b/d*	2 260
Dec 31 Income and expenditure accountOF	14 710	Dec 31 Bank	13 900
Balance c/d	1 745	Balance c/d	2 115
2022	2022		
Jan 1 Balance b/d	2 115	Jan 1 Balance b/d	1 745

* for both the opening balances + dates

5(a)(ii)

The amount received was less that the subscriptions due for the year Subscriptions in advance have decreased Subscriptions in arrears have increased

The treasurer should not be pleased with this situation

5(b)

Calculation of profit on refreshments

	$	$
Revenue		17 650

Less Cost of sales

Opening inventory	1 070	
Purchases (1 580 + 10 435 - 1 940)	10 075	
Closing inventory	1 130	10 015
Profit on refreshments	7 635OF	

Alternative forms of presentation acceptable

5(c)

Sew and Soup Club

Statement of financial position (extract) at 31 December 2022

Current assets	$
Inventory	1 130
Other receivables (500 + 2115)	2 615
Bank	7 743

END OF ANSWER

Question 04

20 marks

May/June 2023 Paper 22 Question 3 - 20 marks

5.4 Clubs and societies

Answer

3(a)

Favourite Book Club

Subscriptions account

Date	Details	$	Date	Details	$
2022	2022				
Jan 1	Balance b/d	*468	Jan 1	Balance b/d	* 260
Dec 31	Income & Expenditure	Dec 31	Bank	5356	
Balance c/d	156	subscriptions written off	208		
Balance c/d	1040				
2023	6864	2023	6864		
Jan 1	Balance b/d	1040	Jan 1	Balance b/d	156

* both balances b/d + Correct dates including years

3(b)

Favourite Book Club Key point: Income Expenditure year ended 31 December 2022

	$	$
Subscriptions		6 240OF

Less expenses

Rent	2 080	}
General expenses	2 498	}
Insurance (732 + 348 - 366)	714	
Subscriptions written off	208	5 500
Surplus for the year	740OF	

3(c)

For - increasing subscriptions Benefit: Subscriptions remained unchanged many years increase expected Only requires a small increase to raise $400

Key point: need obtain outside funds loan interest May result in the club being run more efficiently

Against - increasing subscriptions Increase in subscriptions may not be popular

Key point: result members leaving club join another Membership is already falling May result in more subscriptions being written off Subscriptions in arrears have increased from 2021 to 2022

Risk: try raise money another way reduce general expenses obtain loan fund Recommendation

3(d)(i)

A summary of the cash book of a club or society usually prepared annually

3(d)(ii)

Assets less liabilities of a club/society OR accumulated surpluses less accumulated deficits of a club/society

END OF ANSWER

Question 05

20 marks

Feb/Mar 2024 Paper 22 Question 3 - 20 marks

5.4 Clubs and societies

3(a)

The Sporting Excellence Club

Subscriptions account

Date	Details	$	Date	Details	$		
2023	2023						
Jan 1	Balance b/d	480	Jan 1	Balance b/d	610		
Dec 31	Income and expenditureOF	11 975	Dec 31	Bank/cash/cash book	11 950		
Balance c/d	570	Balance c/d	465				
2024	2024						
Jan 1	Balance b/d	*both	465	Jan 1	Balance b/d	*	570

+ dates

3(b)

The Sporting Excellence Club

Rent and insurance account

Date	Details	$	Date	Details	$
2023	2023				
Jan 1	Balance b/d	240 Dec 31	Income and expenditureOF	7 380	
Dec 31	Bank/cash/cash book	7 390	Balance c/d	250	
7 630	7 630				
2024					
Jan 1	Balance b/d	250			

3(c)

$

Payments to trade payables	23 290

Add Closing trade payables	2 470	*
Less Opening trade payables	2 140	* both
Purchases	23 620 OF	

OR

Bank	23 290	Balance b/d	2 140
Balance c/d	2 470	Purchases *	23 620

Bank 2 Balances PurchasesOF

3(d)

The Sporting Excellence Club

Shop income statement for the year ended 31 December 2023

	$	$
Revenue		31 890

Cost of sales

Opening inventory	2 500 *	
Purchases	23 620OF	
Closing inventory	(2 750) *	23 370
Gross profit	8 520	
Shop wages	3 268	
Profit on shop	5 252OF	

* for both

3(e)(i)

The accumulated fund of a club consists of the total surpluses less total deficits which have arisen over the life of the clu b.

3(e)(ii)

The income and expenditure account of a club shows the surplus or deficit it has made, by deducting the

expenses from its gains/income.

END OF ANSWER

Question 06

20 marks

Oct/Nov 2024 Paper 22 Question 3 - 20 marks

5.4 Clubs and societies

3(a)

Sports T

Café Income Statement

for the year ended 31 December 2023

	$	$
Cafe sales		27 000

Cost of sales

Opening inventory	1 290 *	
Purchases of food & drink	8 220	
9 510		
Less Closing inventory	1 340 *	8 170

Expenses

Wages - café assistant	14 352
Profit for the year - cafe	4 478OF

* For both inventory figures

3(b)

Sports T club

Subscriptions account

Date	Details	$	Date	Details	$
2023	2023				
Jan 1	Balance b/d	1 520	Dec 31	Bank or Cash	162 000
Dec 31	Income & Expenditure	158 960OF			

Account

Balance c/d	2 800	Balance c/d	1 280		
163 280	163 280				
2024	2024				
Jan 1	Balance b/d	*1 280	Jan 1	Balance b/d	*2 800

for dates *For both balances b/d

3(c)

Sports T club Key point: Income expenditure year ended 31 December 2023

Income:	$	$
Profit from the cafe	4 478OF	
Subscriptions	158 960OF	
Bank interest	720	164 158OF

Expenditure

Wages: Sports coaches	58 220	}
Administration salaries	31 720	}
Rent (16 250 - 1250)	15 000	
Sports equipment hire	34 800	
Rates & insurance	3 200	
Accountancy fees	2 400	(145 340)
Surplus for the year	18 818OF	

END OF ANSWER

Question 01

20 marks

May/June 2021 Paper 21 Question 3 - 20 marks

5.5 Manufacturing accounts

3(a)

TC Limited

Rent and rates account

Date	Details	$	Date	Details	$		
2021	2021						
Jan 31	Total to date	19 620	Jan 31	Manufacturing accountOF	9 485		
Balance c/d (rates)	550	Income statementOF	9 485				
Balance c/d (rent)	1 200						
Feb	1	Balance b/d (rent)	1 200	Feb	1	Balance b/d (rates)	550

3(b)

TC Limited

Manufacturing Account for the year ended 31 January 2021

	$	$

Cost of material consumed

Opening inventory of raw material	7 500	
Purchases of raw material	91 400	
Carriage inwards	6 280	97 680
105 180		
Less Closing inventory of raw material	8 000	
Direct wages	52 000	
Prime cost	149 180 OF	

Factory overheads

Wages of factory supervisor	23 100

Rent and rates	9 485OF
Insurance (75% x 4 600)	3 450
General expenses	4 200

Depreciation of factory equipment

(90 000 - 30 960) x 20%	11 808	52 043
201 223OF		
Add opening work-in-progress	11 220 *	
212 443		
Less closing work-in-progress	11 900 *	
Cost of production	200 543 OF	

* for both opening and closing work-in-progress

3(c)

Advantages Decision point: apply principle consistency non current assets depreciated Risk: apply principle matching spread cost expected useful life Risk: non current assets depreciated they lose value useful life (Max 2)

Disadvantages The cost of the items may not be material The amount of depreciation would be insignificant The items may not last more than one year

(Max 2)

Recommendation

END OF ANSWER

Question 02 — 20 marks

Oct/Nov 2021 Paper 22 Question 3 - 20 marks

5.5 Manufacturing accounts

3(a)

KA Limited

Manufacturing Account for the year ended 31 July 2021

	$	$

Cost of material consumed

Opening inventory raw material	5 820
Purchases raw material	34 200
Carriage inwards	410
Closing inventory raw material	6 030
Direct wages	67 200
Prime cost	101 600 OF

Factory overheads

Indirect factory wages	24 000
Factory general overheads (16 400 + 230)	16 630
Rates (5300 - 500) x 75%	3 600

Depreciation of factory machinery

(36 000 x 20%)	7 200

153 030 OF

Add opening work in progress	1 750	*
154 780		
Less closing work in progress	2 780* for both WIP	
Cost of production	152 000 OF	

3(b)

KA Limited

Key point: Income Statement Trading section year ended 31 July 2021

	$	$
Revenue		223 000

Less Cost of sales

Opening inventory finished goods	12 360	*
Cost of production	152 000 OF	
Purchases of finished goods	3 900	}
Carriage inwards	80	}
168 340		
Less Closing inventory finished goods	10 340 * both	
158 000		
Gross profit	65 000 OF	

3(c)

KA Limited Journal

Details	Debit	Credit
$	$	
Irrecoverable debts	350	
DH Limited	350	

3(d)(i)

The amount of sales for which the business is unlikely to be paid is regarded as an expense of the year in which those sales are made

3(d)(ii)

The profit for the year is not overstated and the amount of trade receivables is shown at a realistic level in

the statement

END OF ANSWER

Question 03 — 20 marks

Feb/Mar 2022 Paper 22 Question 3 - 20 marks

5.5 Manufacturing accounts

3(a)

Pari

Manufacturing Account for the year ended 31 December 2021

Cost of material consumed	$	$
Opening inventory of raw materials	6 100	
Purchases of raw materials	84 200	
Less Closing inventory of raw materials	6 840	
Direct wages	33 000	
Prime cost	116 460OF	

Factory overheads

Wages of factory supervisor	26 000}
Rates and insurance (14 000 / 2)	7 000}
General expenses (11 500 + 500)	12 000

Depreciation of factory equipment

(100 000 - 36 000) x 20%	12 800	57 800
174 260OF		
Add opening work-in-progress	9 420 *	
183 680		
Less closing work-in-progress	9 885*	
Cost of production	173 795OF	

* for both inventories of work in progress

3(b)

Pari

Key point: Income Statement trading section year ended 31 December 2021

	$	$
Revenue		230 020

Cost of sales

Opening inventory of finished goods	11 350 *	
Cost of production	173 795OF	
185 145		
Less Closing inventory of finished goods	12 630 *	172 515OF
Gross profit	57 505OF	

* for both inventories of finished goods

3(c)

100

Gross margin = 57 505 OF x	} whole formulaOF = 25.00%OF
230 020	1

3(d)

Advantages	Disadvantages
May be cheaper to buy rather than to	May be cheaper to make rather than to
make	buy
If could buy at lower cost than making	If could make at lower cost than making
gross margin/gross profit would improve	gross margin/gross profit would improve

Would have more time for other business functions e.g. marketing Accounting records would be simpler Cost of purchased finished goods may increase in the future Depend on supplier for regular supplies Depend on supplier for quality Depend on supplier for required quantity May lose customer loyalty May be difficult to start production again once stopped

Advantages Max	Disadvantages Max

Recommendation

END OF ANSWER

Question 04

20 marks

May/June 2023 Paper 21 Question 4 - 20 marks

5.5 Manufacturing accounts

4(a)

Salman

Manufacturing Account for the year ended 30 April 2023

	$	$

Cost of material consumed

Opening inventory of raw material		8 190
Purchases of raw material		78 420
	8 000	
Less Closing inventory of raw material		78 610
Direct wages		52 396
Prime cost		131 006OF

Factory overheads

Wages of factory supervisor	27 500	
Rates and insurance (17 528	3/4)	13 146
Factory electricity (11 442 + 1 048)	12 490	
General expenses	8 244	

Depreciation of factory equipment

(90 000 - 43 920)	20%	9 216	70 596
201 602OF			
Add opening work-in-progress	15 200	*	
216 802			
Less closing work-in-progress	16 100	*	
Cost of production	200 702OF		

* for both opening and closing work-in-progress

4(b)

Salman

Key point: Income statement trading section year ended 30 April 2023	
$	$
Revenue	435 174OF

Cost of sales

Opening inventory	23 860	
Cost of production	200 702OF	
Purchases of finished goods	90 144	
314 706		
Closing inventory	24 590	290 116OF
Gross profit	145 058OF	

4(c)

Advantages of converting office space Will be more profitable use of space/increase output Manufacturing appears to be profitable May not need to purchase finished goods

Key point: high bank balance help pay conversion Disadvantages of converting office space May not be able to sell the extra output Conversion of office space may be costly May have to purchase additional factory equipment

Key point: appropriate profitable use funds things The space is necessary for office purposes

for recommendation

END OF ANSWER

Question 05

20 marks

Oct/Nov 2023 Paper 21 Question 2 - 20 marks

5.5 Manufacturing accounts

2(a)

Hilary 11

Manufacturing Account for the year ended 31 July 2023

	$	$

Cost of material consumed

Opening inventory of raw material	9 100	
Purchases of raw material	110 000	
Less Purchases returns	2 200	107 800
116 900		
Less Closing inventory of raw material	9 980	
106 920		
Direct wages	91 665	
Prime cost	198 585OF	

Factory overheads

Wages of factory supervisor	29 000		
Heat, light and power (11 600	4/5)	9 280	
Rates and insurance (8 250 - [5/12	4 440])	3/5	3 840
Factory repairs and renewals (5 125 + 644)	5 769		

Depreciation of factory equipment

(124 000 - 35 500)	25%	22 125	70 014
268 599OF			
Add opening work-in-progress	21 357	*	
289 956			
Less closing work-in-progress	22 446	* both W in P	

Cost of production	267 510OF		

2(b)

$ $ $

Revenue	457 250

Cost of sales

Opening inventory	24 235 *	
Cost of production	267 510OF	
Purchases of finished goods	23 500 }	
Less Purchases returns	4 700 }	18 800
310 545		
Less Closing inventory	25 110 *Both	285 435
Gross profit	171 815OF	

2(c)

Advantages of stopping buying in finished goods Key point: dependent supplier ensuring continuity supplies goods control produce own Key point: control quality goods produced own factory Would have more control over cost May be more profitable/cheaper to produce and sell own goods

Risk: all manufacturing costs increase proportion production Key point: Currently high proportion purchases finished goods returned Disadvantages of stopping buying in finished goods Increase in factory running costs/cost of production May need to purchase additional machinery

Benefit: able increase factory capacity enough meet demand Benefit: able meet increase demand falls surplus capacity increased inventory Quality of goods purchased may be inferior

Recommendation

END OF ANSWER

Question 06

20 marks

Oct/Nov 2023 Paper 22 Question 2 - 20 marks

5.5 Manufacturing accounts

2(a)

Sara 11

Manufacturing Account for the year ended 30 September 2023

	$	$

Cost of material consumed

Opening inventory of raw material	4 875
Purchases of raw material	56 400
Less Closing inventory of raw material	5 110
Direct wages	43 300
Prime cost	99 465OF

Factory overheads

Wages of factory supervisor	25 000

Rates and insurance (29 600 - 6 000) /2	11 800OF
General factory expenses (9 650 + 335)	9 985

Depreciation of factory machinery

(80 000 - 35 000=) 45 000 x 25%	11 250	58 035
157 500OF		
Add opening work-in-progress	8 125*	
165 625		
Less closing work-in-progress	7 365 * for both W in P	
Cost of production	158 260OF	

2(b)

Sara

Key point: Statement financial position Current assets section 30 September 2023

Current Assets	$
Inventory - Raw materials	5 110 }
- Work-in-progress	7 365 }
- Finished goods	13 725 }
Trade receivables	27 000}
Other receivables	6 000}
Cash at bank	1 050}

2(c)

Money measurement

2(d)

Advantages of supplying drama school Will increase sales / revenue May raise profit The extra work will provide security/continuity of workload If successful, potential to supply other schools, theatre groups, etc.

Disadvantages of supplying drama school

Risk: extra administration incur additional costs wages production More manufacturing and/or storage capacity may be required

Key point: capacity supply existing customers drama group Recommendation

END OF ANSWER

Question 07

28 marks

May/June 2024 Paper 23 Question 2 - 28 marks

5.5 Manufacturing accounts

2(a)

Toyah

Manufacturing Account for the year ended 31 January 2024

	$	$

Cost of material consumed

Opening inventory of raw material		12 400
Purchases of raw material		143 000
	155 400	
Less Closing inventory of raw material		11 205
	144 195	
Direct wages		51 000
Prime cost		195 195OF

Factory overheads

Wages of factory supervisor	19 000	
Factory electricity	16 000	
Rates and insurance (16 200	2/3)	10 800
General factory expenses (6 155 + 235)	6 390	

Depreciation of factory machinery

(120 000 - 52 500)	25%	16 875	69 065
264 260OF			
Add Opening work-in-progress	16 970	*	
281 230			
Less Closing work-in-progress	17 682	* for both	
Cost of production	263 548OF		

2(b)

Toyah

Key point: Income statement trading section year ended 31 January 2024

	$	$
Revenue		390 100

Cost of sales

Opening inventory	14 825 *	
Cost of production	263 548OF	
278 373		
Closing inventory	13 480 * for both	264 893OF
Gross profit	125 207OF	

2(c)

$263 548 OF = $38OF per dolls' house (rounded up to nearest dollar) 6 936

2(d)

For: Decision point: Sales discounted inventory profitable make profit raise profit margin Benefit: Selling extra inventory increase total sales customers revenue Completed inventory may be turned into cash quickly

Risk: Her own inventory finished goods decreased scope sell additional Against: Does not have enough money to buy the inventory If have to borrow money will incur interest charges It may incur extra storage costs

Key point: able sell inventory unpopular inferior quality May increase selling costs

Recommendation

END OF ANSWER

Question 01

20 marks

May/June 2022 Paper 22 Question 2 - 20 marks

5.6 Incomplete records

2(a)

Stalla

Bank account

Date	Details	$	Date	Details	$
2022	2022				
Mar 31 Total receipts	49 000	Mar 31 Total payments	38 870		
DrawingsOF	7 800				
Balance c/d	2 330				
Apr 1 Balance b/d	2 330				

2(b)

$

Drawings - goods 3 375	100/125	2 700
Drawings - cash	7 800	
Total drawings	10 500OF	

2(c)

Stalla

Statement of Affairs at 31 March 2022

$	$

Non-current assets

Fixtures and fittings at book value	10 800

Current assets

Inventory	2 150	

Other receivables	500	
Bank	2 330	4 980
Total assets	15 780	

Capital and liabilities

Capital (balancing figure)	8 905OF

Non-current liabilities

Loan	5 000

Current liabilities

Trade payables	1 875
Total capital and liabilities	15 780

2(d)

$

Closing capital	8 905OF
Drawings	10 500OF
Capital introduced	(8 000)
Profit for the year	11 405OF

2(e)

For Competitors may Also valid: credit terms May increase sales if offer credit terms May improve relationship with customers

Key point: ensure cash received time cash discount offered Against She should obtain credit references for new and existing customers Payment is not received at time of sale

Risk: customers pay later she face cash flow liquidity problems Risk of irrecoverable debts

.

Recommendation

END OF ANSWER

Question 02

20 marks

May/June 2023 Paper 22 Question 5 - 20 marks

5.6 Incomplete records

5(a)

Amadi Corrected Trial balance at 31 March 2023

$	$	
Fittings and equipment at cost	30 000	}
Provision for depreciation of fittings and equipment	7 500	}
Trade receivables	6 100	
Bank overdraft	3 106	
Trade payables	3 485	
Capital	20 000	
Sales	73 250	
Purchases	41 785	}
Discount received	1 990	}
Returns inwards	3 390	
Carriage inwards	1 223	
General expenses	6 430	
Rent and rates	7 380	
Drawings	9 500	
Inventory	3 752	
Suspense	229OF	
109 560	109 560both	

5(b)

Amadi

Suspense account

Date	Details	$	Date	Details	$
2023	2023				
Mar 31	Rent and rates	99	Mar 31	Trial balance differenceOF	229
Drawings	165	General expenses	200		
Discount received	165				
429	429				

5(c)

Amadi

Key point: Income statement trading section year ended 31 March 2023

	$	$
Revenue		73 250
Less returns inwards		3 390

Less Cost of sales

Opening inventory	3 752	
Purchases	41 785	
Carriage inwards	1 223	
Less Closing inventory	(3 965)	42 795OF
Gross profit	27 065OF	

5(d)

Gross profit margin

workings	answer
100 OF whole formula	38.74%OF

5(e)

Businesses in the same trade would be expected to have similar gross profit margins The profit margins will vary because -

Risk: Hector owns his own premises he pay rent repair maintenance costs Or Amadi has to pay rent

Conclusion

END OF ANSWER

Question 03

20 marks

May/June 2024 Paper 21 Question 5 - 20 marks

5.6 Incomplete records

5(a)

$

	$	$
	$	$
Payments to credit suppliers	34 250	
Bank	34 250	Purchases 37 210
Add closing credit suppliers	2 960	

Credit purchases	37 210			
Balance c/d 2 960	37 210			
Cash purchases	37 210	OF	OR	37 210
Total purchases	74 420OF			
Credit purchases 37 210				
Cash purchases 37 210 OF				
Total purchases 74 420OF				

5(b)

Stella

Income statement for the year ended 31 March 2024

	$	$
Sales	89 760OF	(132%)

Less Cost of sales

Purchases	74 420 OF		
Less Closing inventory	6 420	68 000OF	(100%)
Gross profit	21 760OF	(32%)	

Less Rent and insurance

(6 750 - 600 - 500)	5 650	
Wages (8 300 + 300)	8 600	
Other expenses (1 815 - (120/3))	1 775	16 025
Profit for the year	5 735OF	

5(c)

For: Should increase sales/attract more customers Should lead to higher profit/higher profit margin Competitors may Also valid: credit sales/may help Stella to compete Increase monthly sales to generate growth

Against: Money would come into the business more slowly Liquidity may be reduced Irrecoverable debts can occur Increased bookkeeping/a sales ledger would be required Credit control may be required

Recommendation

5(d)(i)

Materiality

5(d)(ii)

Time and cost of recording small items outweigh the benefits of treating them as non-current assets Risk: Depreciation need calculated charged low value non current assets

5(e)

Full details of the assets, liabilities, revenues and expenses are available The preparation of financial statements is more straightforward

Key point: calculation profit loss year likely reliable More informed decision-making is possible

Key point: greater degree control activities exercised The possibility of fraud is reduced

Key point: Comparisons results previous years businesses Detailed records are available for reference

Key point: Information required bank lender readily available

END OF ANSWER

Question 04

12 marks

May/June 2024 Paper 22 Question 1 - 12 marks

5.6 Incomplete records

1(a)

($21 +$47 + $44) - $15 = $97OF

1(b)(i)

cash book sales journal sales returns journal purchases journal purchases returns journal journal / general journal

1(b)(ii)

Useful for preparing control accounts Assist in collating and summarising accounting information Remove detail from the ledgers Bookkeeping can be divided among several people

1(c)(i)

Depreciation for the year ended 30 April 2022 12 000	25% 3 000 }	
Depreciation for the year ended 30 April 2023 (12 000 - 3 000) 9 000	25%	2 250 }
Accumulated depreciation at 30 April 2024	5 250OF	

1(c)(ii)

Lottie

Disposal of motor vehicle account

Date	Details	$	Date	Details	$
2024	2024				
Apr 30	Motor vehicles	12 000 Apr 30	Provision for depreciationOF	5 250	
Y Limited	6 000				
_____	Income statementOF	750			

1(d)

Valuation per unit	Total valuation		
Item	Number of items		
$	$		
A	(14 + 1 =) 15	60	900
B	17	85	1 445
C	22	30	660

3 005OF

1(e)

Lottie

Insurance account

Date	Details	$	Date	Details	$
2023	2024				
May 1	Balance b/d }	60 Apr 30	Income statement	360	
Aug 1	Bank	}	360	Balance c/d	60
420	420				
2024					
May 1	Balance b/dOF	60			

dates

END OF ANSWER

Question 05

28 marks

May/June 2024 Paper 22 Question 2 - 28 marks

5.6 Incomplete records

2(a)

Toyah

Manufacturing Account for the year ended 31 January 2024

	$	$

Cost of material consumed

Opening inventory of raw material		12 400
Purchases of raw material		143 000
	155 400	
Less Closing inventory of raw material		11 205
	144 195	
Direct wages		51 000
Prime cost		195 195OF

Factory overheads

Wages of factory supervisor	19 000	
Factory electricity	16 000	
Rates and insurance (16 200	2/3)	10 800
General factory expenses (6 155 + 235)	6 390	

Depreciation of factory machinery

(120 000 - 52 500)	25%	16 875	69 065
264 260OF			
Add Opening work-in-progress	16 970	*	
281 230			
Less Closing work-in-progress	17 682	* for both	
Cost of production	263 548OF		

2(b)

Toyah

Key point: Income statement trading section year ended 31 January 2024

	$	$
Revenue		390 100

Cost of sales

Opening inventory	14 825 *	
Cost of production	263 548OF	
278 373		
Closing inventory	13 480 * for both	264 893OF
Gross profit	125 207OF	

2(c)

$263 548 OF = $38OF per dolls’ house (rounded up to nearest dollar) 6 936

2(d)

For: Decision point: Sales discounted inventory profitable make profit raise profit margin Benefit: Selling extra inventory increase total sales customers revenue Completed inventory may be turned into cash quickly

Risk: Her own inventory finished goods decreased scope sell additional Against: Does not have enough money to buy the inventory If have to borrow money will incur interest charges It may incur extra storage costs

Key point: able sell inventory unpopular inferior quality May increase selling costs

Recommendation

END OF ANSWER

Question 06

20 marks

May/June 2024 Paper 22 Question 3 - 20 marks

5.6 Incomplete records

Answer

3(a)(i)

Bank statement

3(a)(ii)

Error 4

3(b)

Akil Journal

Error	Details	Debit	Credit
number	$	$	
1	Sales returns	3 416	
Sales	3 416		
2	Insurance (115	2)	230
Suspense	230		
3	Discount received	47	
Discount allowed	47		
Suspense	94		

3(c)(i)

Shows that all the errors have not yet been found/corrected

3(c)(ii)

Akil

Suspense account

Date	Details	$	Date	Details	$
2024	2024				
Feb 29	Difference on Trial balance	385 Feb 29	Insurance	230	
Purchases	90	Discount received	}	47	
Discount allowed	}	47			
___	Balance c/d	151			
475	475				
March 1 Balance b/dOF	151				

3(d)

$ $ $

Plus	Minus	
Original draft profit	17 420	
Error 4	52	
Error 5	90	
Error 2	230	
Error 3	94	
142	324	(182)
Draft profit after corrections	17 238OF	

END OF ANSWER

Question 07

20 marks

May/June 2024 Paper 22 Question 5 - 20 marks

5.6 Incomplete records

5(a)

Gross margin: 11 Risk: Cost sales 5 200 51 300 6 500 50 000 Gross profit 97 000 - 50 000 = 47 000

Gross margin =	= 48.45%

Profit margin: Profit 47 000 OF - 23 750 = 23 250

Profit margin =	= 23.97%OF

Inventory turnover: = 8.55 timesOF

(5 200	6 500) / 2	5850

Trade receivables turnover

9 550	365
whole formula = 41 daysOF	

Liquid (acid test) ratio Key point: 9 550 1 200 6 000 whole formula 79

5(b)(i)

His purchase price has fallen / he has been allowed trade discount His sales mix has changed

5(b)(ii)

Whether Ajay will be able to continue in business / continue being able to supply them

5(c)

Advantages Should increase sales / attract new customers May raise profit for the year Should increase rate of inventory turnover Reduces risk of inventory deteriorating / becoming damaged / obsolete Reduces cost of holding inventory (storage, insurance) May improve his reputation

Disadvantages

Risk: reduce gross margin profit profit year profit margins make loss Risk: money coming unit sold liquidity reduced Key point: Customers question quality goods damage his reputation Key point: Customers unwilling pay full price future Risk: better offer cash discount reduce trade receivables Recommendation

5(d)

May result in loss if expenses continue to increase Benefit: He able pay expenses suppliers wages they continue increase The business cannot continue indefinitely if this trend continues.

END OF ANSWER

Question 08

20 marks

Oct/Nov 2024 Paper 21 Question 1 - 20 marks

5.6 Incomplete records

1(a)

Jenny Cash Book - bank columns

Date	Details	$	Date	Details	$
2024	2024				
Mar 1	M Stores	1 900 Mar 1	Balance b/d	1 933	
Interest received	358	C Stores (dis. chq)	1 121		
Drawings/Correction of	Bank charges	}	125		
error	45	Electricity	}	290	
Balance c/d	1 166	_ ___			
3 469	3 469				
2024					
Mar 1	Balance	b/dOF	1 166		

1(b)

Jenny

Bank reconciliation statement at 29 February 2024

	$	$
Balance on bank statement		1 367

Amounts not yet credited

Cheque - Y Traders		792
	2 159	

Amounts not presented

Cheque - B Properties	1 025	
Credit transfer - Rent and insurance	2 300	3 325
Balance in cash book	(1 166)OF	

Alternative presentation

	$	$
Balance in cash book	(1 166)OF	

Amounts not presented

Cheque - B Properties	1 025	
Credit transfer - Rent and insurance	2 300	3 325
2 159		

Amounts not yet credited

Cheque - Y Traders	(792)	
Balance on bank statement		1 367

1(c)

An accurate bank balance is available

Errors on bank statement can be identified
Errors in the bank account can be identified

Assists with discovering fraud and embezzlement Cheques not presented can be identified Amounts not credited by the bank can be identified Any stale (out of date) cheques can be identified

Any 2 advantages each

1(d)

It is an asset to the bank/it is money owed to the bank

1(e)

Advantages Improves bank balance/ strengthen liquidity Money available to run the business/pay trade payables/business expenses Reduces interest/bank charges from bank Improves relationship with bank Any other valid points

Disadvantages Lack of funds for own personal use May not have sufficient personal funds available May have to obtain a personal loan

Risk: lose interest investments they withdrawn More personal funds at risk

Recommendation

END OF ANSWER

Question 09

20 marks

Oct/Nov 2024 Paper 21 Question 3 - 20 marks

5.6 Incomplete records

3(a)

Natalie Journal

Error	Details	Debit	Credit
number	$	$	
1	Suspense	420	
Sarah	420		
2	Motor vehicles	{	7 000
Vehicle maintenance	{	7 000	
Capital	14 000		
3	Purchases	63	
Suspense	63		
4	General expenses	126	
Bank	126		
5	Drawings	400	
Cash	400		

3(b)

Natalie

Suspense account

Date	Details	$	Date	Details	$
2024	2024				
Mar 31	Sarah	420 Mar 31	Difference on trial		
balance	357				
___	Purchases	63			
420	420				

3(c)

Error	Error type

Number

Error 4	Omission
Error 5	Complete reversal

3(d)

Error	Effect on profit

Number

[redacted]	[redacted]	[redacted]

Error 1

Error 2

Error 3

Error 4

Error 5

END OF ANSWER

Question 10

20 marks

Oct/Nov 2024 Paper 21 Question 4 - 20 marks

5.6 Incomplete records

4(a)

$ $

Cost of vehicles at start	440 000	
Add Cost of new vehicles	70 000	510 000
Less Cost of vehicle sold	28 000	
Cost of vehicles held at year end	482 000	

Key point: Depreciation year 482 000 20% 96 400OF

4(b)

Delivery vehicles account

Date	Details	$		
Date	Details	$		
2023	2023			
Jan 1	Balance b/d	440 000 Nov 30	Disposal	28 000
Apr 1	L Autos	70 000 Dec 31	Balance c/d	482 000
510 000	510 000			
2024				
Jan 1	Balance b/d	***OF	482 000	

Provision for depreciation of delivery vehicles account

Date	Details	$	Date	Details	$
2023	2023				
Nov 30	Disposal	16 800 Jan 1	Balance b/d	270 000	
Dec 31	Balance c/d	349 600 Dec 31	Income statementOF	96 400	
366 400	366 400				

2024

Jan 1	Balance b/d	***OF boths	349 600

Disposal of delivery vehicle account

Date	Details	$	Date	Details	$
2023	2023				
Nov 30	Delivery vehicles	28 000 Nov 30	Prov. for depreciation	16 800	
Bank	10 500				
_____ Dec 31	Income statementOF	700			

dates

4(c)

Advantages Application of the matching principle Vehicles would be valued at a more realistic/accurate figure

Key point: reflect estimate loss value vehicles accurately depreciation reliable Risk: Appropriate vehicles they lose value greater benefits gained early years Total depreciation/annual depreciation charge will be lower

Disadvantages

Key point: difficult calculate depreciation need recalculate year The depreciation charge is higher in the early years Changing methods is against the consistency principle Changing methods makes comparisons between years more difficult Non-current asset may be overvalued

Recommendation

4(d)

Non-current asset	Straight line	Revaluation	No

depreciation

Land

Fixtures & fittings

Loose tools

END OF ANSWER

Question 11 — 20 marks

Oct/Nov 2024 Paper 21 Question 5 - 20 marks

5.6 Incomplete records

5(a)

G Limited

Manufacturing account for the year ended 31 March 2024

	$	$

Cost of materials consumed

Opening inventory of raw materials		18 200
Purchases of raw materials		68 000
Less Closing inventory of raw materials		19 280
Direct wages		183 700
Royalties		3 240
Prime cost		253 860OF

Factory overheads

Wages of factory supervisor	47 200 }	
Factory general expenses	20 250 }	

Factory rates and insurance

(7 100 + 620)	60%	4 632

Depreciation of factory machinery

(247 000 - 51 500)	15%	29 325	101 407
355 267OF			
Add Opening work in progress	23 400	*	
378 667			
Less Closing work in progress	22 650	* both W in P	
Cost of production	356 017OF		

5(b)

G Limited

Key point: Income Statement Trading section year ended 31 March 2024		
$	$	$
Revenue	523 908OF	

Less Cost of sales

Opening inventory finished goods	6 820	
Cost of production	356 017OF	
Purchases of finished goods	32 413 }	
Carriage inwards on finished goods	2 180 }	34 593
397 430		
Less Closing inventory of finished goods	9 350	388 080OF
Gross Profit	135 828OF	

5(c)

Advantages Better trained staff

Risk: Improved debt collection period reduce trade receivables turnover money received credit quickly/improved cash flow Improved credit control Risk of irrecoverable debts reduced Only have to pay fee once but benefits should continue

Disadvantages Fee charged by consultant/cannot afford the fee May damage relationship with customers May be reduction in sales New procedures are not guaranteed to generate improvements No time to train staff Additional costs may be incurred

Recommendation

END OF ANSWER

Question 12

20 marks

Oct/Nov 2024 Paper 22 Question 1 - 20 marks

5.6 Incomplete records

1(a)

13 Kalima Cash book

Date Details	Discoun	Cash	Bank	Date Details	Discount	Cash	Bank
t	Receive						
2024	$	$	$	2024	$	$	$
Sept 1 Balance b/d	240	Sept 1 Balance b/d	890				
3 Sales	478	2 Stationery	82				
14 Elizah	13	507	3 Badr	30			
16 Cash	120	5 Wages	1 390				

30 Balance c/d	2 029	30 Balance c/d	516		
13	718	2 656	4	718	2 656OF
Oct 1	Balance b/d	516OF	Oct 1	Balance b/d	2 029OF

for dates *For totalling dr and cr columns

1(b)

Bank overdraft

1(c)

Kalima

Elizah Account

Date	Details	Amount	Date	Details	Amount
2024	$	2024	$		
Sept 1 Balance b/d	520	Sept 14 Bank	507OF		
23 Sales	1 450	Discount allowed	13OF		

1 970	1 970
Oct 1 Balance b/d	1 125OF

1(d)

Current Assets

END OF ANSWER

Question 13

20 marks

Oct/Nov 2024 Paper 22 Question 2 - 20 marks

5.6 Incomplete records

2(a)

Workings	Answer $

Key point: 140 000 92 10 24 600

Capital at 1 April 2023	259 900
+39 600 - 24 750 -3 200 +1 650	

140 000 +106 000 - 36 000+ 42 000 +

Capital at 31 March 2024	289 900

2(b)

Added to	Deducted from	Total
opening	opening capital	

capital

$	$	$	
Capital at 1 April 2023	259 900		
Capital Introduced	10 000		
Profit for the year	20 620	OF	
Drawings	620		
Total adjustments	30 620	620	30 000
Capital at 31 March 2024	289 900OF*		

* For both opening and closing capital figures

2(c)(i)

Either $

Payments to credit suppliers	224 700
Add closing trade payables	19 700 *
244 400	
Less opening trade payables	(24 750) * both opening & closing figures
219 650	
Less drawings	(620)
219 030OF	

Or

Balance b/d	24 750 *		
Bank	224 700	Drawings	620
Balance c/d	19 700 *	Purchases	219 030OF
244 400	244 400		

2(c)(ii)

Either $

Payments received from credit customers	452 000
Add closing trade receivables	43 400
495 400	
Less opening trade receivables	(39 600) * both opening & closing figures
Total credit sales	455 800
Cash Sales	21 000
Total sales for the year	476 800 OF

Or

Balance b/d	39 600 *	Bank	452 000
Sales	476 800OF	Cash sales	21 000
Balance c/d	43 400 *		
516 400	516 400		

2(d)

Advantages Preparation of financial statements would be quicker / easier

Key point: Better control activities able track transactions income expenses Chances of fraud reduced / errors may be reduced Comparison with previous years / aids decision making Information required by a bank/investor readily available Also valid: Ben time to concentrate on other business activities

Disadvantages Salary of book-keeper to pay

Risk: Profit adequate cover cost employing book keeper Additional costs on top of salary paid. Problems of recruiting suitable / trained candidate

Recommendation

2(e)(i)

Prudence Or Matching / accruals

2(e)(ii)

Profit for the year	Trade receivables	Cash at bank

Increase

[redacted]

No effect

END OF ANSWER

Question 14 — 20 marks

Oct/Nov 2024 Paper 22 Question 5 - 20 marks

5.6 Incomplete records

5(a)

Ratio	Workings	Answer
Inventory turnover	24 074 + 278 429 - 25 600	
(correct to 2 decimal places)	(24 074 + 25 600) / 2	
11.15 times		
276 903		

==

Trade receivables turnover	42 375	365
(round up your answer to the nearest whole day) for formula	40 days	
392 600		
Trade payables turnover	21 603	365
(round up your answer to the nearest whole day) for formula	29 days	
278 429		

5(b)

Advantages Reduced administration - debt collection company will manage debt collection

Key point: Owner spend time areas Benefit: Money received credit customers quicker improved cashflow liquidity trade receivables turnover improve Reduced risk of irrecoverable debts Reduced need to borrow to finance working capital

Disadvantages Cost/fees of debt collection company May damage relationship with customer Credit sales may reduce

Key point: Maybe lack communication between agency owner effective improving debt collection Recommendation

5(c)

Improve credit control policy Issue regular statements & invoices Offer cash discount for prompt payment Charge interest on overdue accounts

5(d)(i)

Reduce cost of purchases Increase selling price Changing the proportions of types of goods sold

5(d)(ii)

Improve gross profit Control / reduce overall expenses Increasing other income

5(e)(i)

Azim Journal

Details	Debit	Credit
$	$	
Drawings	340	
Purchases	340	

5(e)(ii)

increase	decrease	no effect

gross profit

closing capital

END OF ANSWER

Question 15

20 marks

Feb/Mar 2025 Paper 22 Question 1 - 20 marks

5.6 Incomplete records

1(a)

Ria Purchases journal

Date	Details	$

2025

Jan 13	Ottie (180 - 9)	171

1(b)

Ria Purchases returns journal

Date	Details	$

2025

Jan 30	Darena	24

1(c)

Ria

Purchases account

Date	Details	$ Date	Details	$
2025	2025			
Jan 1	Balance	6 327 Jan 31 Balance c/d	7 409	
Month OF	1 009			
7 409	7 409			
Feb 1 Balance b/dOF	7 409			

1(d)

Ria

Purchases ledger control account

Date	Details	$ Date	Details	$
2025	2025			
Jan 31 Purchases returnsOF	24	Jan 1	Balance b/d	1510
Bank (300 + 600 - 18)	882	31	PurchasesOF	1009
Discount received	18			
Balance c/d	1 595			
2 519	2 519			
Feb 1	Balance b/dOF	1 595		

1(e)

Advantages Advertising may attract new customers/increase sales/may increase profits

Key point: need use existing cash bank balance invest capital Risk: need obtain loan overdraft pay interest Advertising may be recommended for a new business

Disadvantages Advertising will not necessarily increase sales May not be able to take advantage of cash discount Suppliers may charge interest on overdue accounts Will damage relationship with suppliers

Key point: Suppliers provide further goods until outstanding balance paid Recommendation

END OF ANSWER

Question 16

20 marks

Feb/Mar 2025 Paper 22 Question 2 - 20 marks

5.6 Incomplete records

2(a)

Viraj

Income Statement for the year ended 31 January 2025

	$
Revenue	89 600
Less sales returns	2 195

Less Cost of goods sold

Opening inventory	4 500	
Purchases	53 700	
Less Closing inventory	5 900	52 300
Gross profit	35 105OF	

Other income

Rental income (2580 - 516)	2 064

Less Expenses

Rent and insurance	8 760
General expenses	2 945
Wages (7350 + 282)	7 632
Stationery and advertising (710 + 55)	765
Bank charges (143 + 13)	156

Depreciation of fixtures and fittings

(15%	12 500)	1 875	22 133
Profit for the year	15 036OF		

2(b)

Viraj

Statement of Financial Position at 31 January 2025

$ Current Liabilities

Trade payables	3 125	
Other payables (282 + 55)	337	
Income prepaid (172	3)	516
Bank overdraft (1 260 + 13)	1 273	
5 251OF		

2(c)(i)

Materiality OR Prudence

2(c)(ii)

Money measurement

2(d)

Advantages May attract new customers/may increase sales/may raise profit Will help to keep up with the competition/diversify products offered May be more efficient (e.g. energy consumption or layout) May be better working conditions May be able to put his prices up

Risk: able increase rent charge Disadvantages Will require extra capital/loan/increase in overdraft

Risk: need put prices up cover cost refurbishment May be increased expenses/reduced profit (e.g. interest and depreciation)

Key point: wise spend lot property rented The existing fixtures and fittings are only two years old May not actually result in more sales/more customers/more profit

Recommendation

END OF ANSWER

Question 17

20 marks

Feb/Mar 2025 Paper 22 Question 3 - 20 marks

5.6 Incomplete records

3(a)

Samira 11 Journal

Error	Details	Debit	Credit
number	$	$	
1	Equipment repairs	175	
Equipment	175		
2	Bank	264	
David	264		
3	Bank loan	2 500	
Bank charges	2500		
4	Stationery		

Bank

5	Sales returns	40
Purchases returns	40	
Suspense	80	

3(b)

Error number	Effect on profit for the year	Effect on bank balance
1	Overstated by $175	No effect
2	No effect	Understated by $264
3	Understated by $2500	No effect
4	Overstated by $9	Overstated by $9
5	Overstated by $80	No effect

3(c)

$

Original total of debit side of trial balance	97 400
Add Error 5	40
Less Error 3	2 500
Corrected trial balance total of trial balance	94 940OF

3(d)(i)

Error 1 OR Error 3

3(d)(ii)

Error 4

END OF ANSWER

Question 18

20 marks

Feb/Mar 2025 Paper 22 Question 4 - 20 marks

5.6 Incomplete records

4(a)

11

Gross margin	112000 - (5 500 + 68 200 - 5 700) 44 000 100	39.29%OF

=

112000	112000	1
Profit margin	(44 000 OF - 21500) 22500OF 100	20.09%OF

=

112000	112000	1
Return on capital	22 500 OF 100	7.89%OF

employed

285 000	1		
Rate of inventory	(5 500 + 68 200 - 5 700) 68 000	12.14 timesOF	
turnover (times)	=		
(5 500 + 5 700) / 2	5 600		
Trade receivables	16 000 365	52.14 days	
turnover (days)	OR 53 days		
112000	1		
Liquid (acid test)	16 000	16 000 } whole formula	1.33 :
ratio	=		
(5100 + 6 890) 11990 }			

4(b)

May be an increase in irrecoverable debts/decrease in profit because of an increase in irrecoverable debts May have to increase provision for irrecoverable debts

Key point: delay paying trade payables earn cash discount May incur additional interest charges if bank overdraft increases

Risk: Trade payables charge interest paid time

4(c)

Advantages of investing more capital Would avoid paying overdraft interest

Risk: improve relationship bank he pays off his overdraft Benefit: incentive improve future profit personal funds invested Provides funding until his trade receivables turnover can be improved

Disadvantages of investing more capital More capital is at risk Return on capital would be reduced May adversely affect personal financial position Extra capital is not normally used for short-term finance

Recommendation

END OF ANSWER

Question 19

20 marks

Feb/Mar 2025 Paper 22 Question 5 - 20 marks

5.6 Incomplete records

5(a)

$ $ Assets

Pianos at book value	7 200		
Subscriptions in arrears	390	}	
Insurance prepaid	140	}	
Coffee shop inventory	320	}	
Cash at bank	2 045	}	10 095

Liabilities

Subscriptions in advance	650	}	
Rent accrued	435	}	
Coffee shop trade payables	200	}	1 285
Accumulated fund	8 810 OF		

Alternative presentation

Key point: 12 000 4800 390 140 320 2045 650 435 200 8810OF

5(b)

ABC Piano Club

Subscriptions account

Date	Details	$ Date	Details	$	
2024	2024				
Jan 1 Balance b/d	*	390	Jan 1 Balance b/d	*	650
Dec 31 Income and expenditureOF	7670 Dec 31 Bank/Cash	7 800			
Balance c/d	715	Balance c/d	325		
8 775	8 775				

Date	Details	$ Date	Details	$	
2025	2025				
Jan 1 Balance b/d	325	Jan 1 Balance b/d	715		

* for both opening balances

for dates

5(c)

ABC Piano Club

Rent and insurance account

Date	Details	$	Date	Details	$
2024	2024				
Jan 1 Balance b/d	*	140	Jan 1 Balance b/d	*	435
Dec 31 Bank/Cash	6 700 Dec 31 Income and expenditureOF	6 250			
Balance c/d	155				
6 840					
2025	6 840				
Jan 1 Balance b/d	155				

* for both opening balances

for dates

5(d)

ABC Piano Club

Key point: Coffee shop income statement year ended 31 December 2024

	$	$
Revenue		8 320

Cost of sales

Opening inventory	320	*	
Purchases (3 815 - 200 + 186)	3 801		
4 121			
Less Closing inventory	382	*both	3 739OF
4 581			
Shop wages	2 600		
Profit for the year on shop	1 981 OF		

END OF ANSWER

Question 20

20 marks

May/June 2025 Paper 21 Question 1 - 20 marks

5.6 Incomplete records

1(a)

Anika Journal

Date	Details	Debit	Credit
$	$		

2025

March 1	Premises	90 000}
Motor vehicles	14 500}	
Inventory	3 625}	
Trade receivables - Kofi	3 000}	
Davia	2 140}	
Petty cash	86}	
Bank	1 080}	
Trade payables - Ado	1 925}	
Sam	210}	
Capital	110 136	
______	______	
Assets, liabilities and capital at this date	113 351	113 351

1(b)

Anika 11 Petty Cash Book

Total	Date	Details	Total	Motor	Office	Ledger
received	paid	expenses	expenses	accounts		
$	2025	$	$	$	$	
6	Petrol	30	30			
104	38	18	48			

46

150	150
104	BankOF

dates

1(c)

Anika

Sam account

Date	Details	$	Date	Details	$
2025	2025				
Mar 17	Petty cash	48	Mar 1 Balance b/d	210	
25	Purchases returnsOF	57	21 Purchases	114	
324	324				
Apr 1 Balance b/dOF	219				

END OF ANSWER

Question 21

20 marks

May/June 2025 Paper 21 Question 2 - 20 marks

5.6 Incomplete records

2(a)

$

Cost	10 000	
Depreciation 2021 (10 000	20%)	2 000
Net book value 31 Dec 2021	8 000	
Depreciation 2022 (8 000	20%)	1 600
Net book value 31 Dec 2022	6 400	
Depreciation 2023 (6 400	20%)	1 280
Net book value 31 Dec 2023	5 120	

Key point: Total depreciation delivery vehicle 2000 1600 1280 4880OF

2(b)

Mo

Disposal of motor vehicles account

Date	Details	$	Date	Details	$
2024	2024				
Mar 31	Motor vehicles	10 000	Mar 31	Provision for depreciation of	
motor vehiclesOF	4 880				
Bank	2 900				
Dec 31	Income statementOF	2 220			

2(c)

$

Cost of vehicle	12 500
Number plates	215

Total	12 715OF

2(d)

Advantages opening a shop There would be no motor expenses/no delivery costs Can utilise his time on other aspects of the business Might increase sales/increase customers/increase profits He could sell his vehicle/vehicle is no longer required

Disadvantages of opening a shop Cost of converting the farm building into a shop Cost of running the shop

Key point: Customers willing travel prefer goods delivered guarantee come spoil relationship with customers New van has just been purchased

Overall Advantages and Disadvantages Max Recommendation

2(e)

Mo

Rental income account

Date	Details	$	Date	Details	$
2024	2024				
Jan 1 Balance b/d	160	Mar 1	Bank	}	320
Dec 31 Income statement	Sep 1	Bank	}	720	
(12	$80)	960	Dec 31	Balance c/d	80
1 120	1 120				

2025

Jan 1 Balance b/dOF	80

2(f)(i)

They may sell different types of produce Mo has a higher selling price that Barry

Risk: Mo cost producing sales lower Barry

2(f)(ii)

Barry has to pay rent whereas Mo does not Mo has lower expenses/controls his expenses better Using different accounting methods e.g. different depreciation methods

END OF ANSWER

Question 22 — 20 marks

May/June 2025 Paper 21 Question 3 - 20 marks

5.6 Incomplete records

3(a)

11 Entries required to correct the error

Error	Debit		Credit	
Account		$	Account	$

A payment for wages, $425, had

been debited to the purchases Wages	425	Purchases	425

account.

Discount allowed, $19, had been

credited to the discount allowed Discount allowed	38	Suspense	38

account.

The total of the sales journal for

April 2025 was undercast by	Suspense	100	Sales	100
$100.				

A bank payment for purchases,

$170, had not been recorded in	Purchases	170	Bank	170

the books of account.

Bank charges, $15, had been

Bank	90	Bank charges	90

recorded as $105.			

A bank payment for insurance,

$210, was debited to the bank	Insurance	210		
account. No other entries were	Suspense	210	Bank	420

made.

3(b)

Nabil

Suspense account

Date	Details	$	Date	Details	$
2025	2025				
Apr 30	Sales	100	Apr 30	Difference on trial	
Bank	210	balance	272		
Discount allowed	38				
310	310				

3(c)

$ $

Original cash at bank balance	935	
Add Bank charges	90	
1 025		
Less	Purchases	170
Insurance	420	590
Corrected cash at bank balance	435OF	

3(d)

To enable the customer to compare their records against those of the bank Benefit: check bank balance cash book against shown bank records Key point: identify reason differences between

balance bank column cash book bank statement Key point: discover errors omissions cash book bank records Key
point: reconcile bank statement balance cash book help prepare bank reconciliation

END OF ANSWER

Question 23

20 marks

May/June 2025 Paper 21 Question 4 - 20 marks

5.6 Incomplete records

4(a)

H Limited

Key point: Statement Changes Equity year ended 30 April 2025

Details	Ordinary	General	Retained	Total
Share capital	reserve	earnings		
$	$	$	$	
On 1 May 2024	120 000	20 000	33 635	173 635
Profit for the year	....	....	26 700	26 700 row
Transfer to general reserve	....	5 000	(5 000)	- row
Dividends paid	....	....	(5 340)	(5 340) row
On 30 April 2025	120 000	25 000	49 995	194 995OF row

4(b)

H Limited

Statement of Financial Position as at 30 April 2025

$	$	$

Assets Non-current assets at book value

Fixtures and equipment	155 000
Motor vehicles	16 875
171 875	

Current Assets

Inventory	28 120		
Trade receivables	33 000		

Less Provision for Doubtful Debts	990	32 010	60 130OF
Total assets	232 005		

Equity and Liabilities Equity and Reserves

Ordinary share capital	120 000 }
General reserves	25 000 }OF

Retained earnings	49 995 }
194 995	

Non-current Liabilities

5% Debentures	5 000

Current Liabilities

Trade payables	26 815	
Bank overdraft	5 195	32 010
Total Equity and Liabilities	232 005	

4(c)

The total funds provided by the owners of a business The difference between the assets and liabilities of a business

4(d)

26 700 + 250 * 26 950 100

=	= 13.48%OF
194 995 OF + 5 000 199 995OF 1	

Alternative calculation

=	= 13.48%OF
Key point: 171875 60 130 32 010 199 995OF 1	

Key point: Profit adjusted interest debentures 250 5% 5 000

4(e)

Points for issuing debentures Key point: liability once debentures repaid Risk: Issue debentures reduce shareholders stake company debenture holders take active part running the company/debenture holders do not have a vote Only have relatively low amount of loans at present Funds may be available quickly/relatively easy to obtain

Points against issuing debentures

Risk: Interest debentures paid debenture reduces profit fixed year Key point: debenture interest needs paid even company makes loss Benefit: secured against assets company repaid before shareholders liquidated Debentures have to be repaid/increase liabilities Funds must be available when repayment is due Already have commitment to repay existing debentures

Overall For and Against: Max Recommendation

END OF ANSWER

Question 24

20 marks

May/June 2025 Paper 21 Question 5 - 20 marks

5.6 Incomplete records

5(a)

Grace

Manufacturing Account for the year ended 31 March 2025

	$	$

Cost of material consumed

Opening inventory of raw material	5 345
Purchases of raw material	72 870
Carriage inwards of raw material	1 220
Less Closing inventory of raw material	7 100
Direct wages	29 175
Prime cost	101 510OF

Factory overheads

Wages of factory supervisor (24 000 + 2 000)	26 000	
Factory power (14 120 + 1 315)	15 435	
Rent and insurance (12 000	65%)	7 800

Depreciation of factory equipment

(180 000 - 64 800)	20%	23 040	72 275
173 785OF			
Add opening work-in-progress	13 820 *		
187 605			
Less closing work-in-progress	14 390 * for both inventories		
Cost of production	173 215OF		

5(b)

$

255 - 3 - 15 = 237	$14 value at cost price	3 318
3 x $13	value at NRV	39
Total	3 567OF	

5(c)

All assets and expenses are recorded at their actual cost Risk: Factory equipment costs recorded actual original cost

5(d)

Points for producing handbags

Key point: dependent suppliers price able produce them cheaply Not dependent on suppliers for quality Not dependent on suppliers for reliability Possibility of higher sales/more customers/higher profit

Points against producing handbags New equipment may be required May be cheaper to purchase rather than make May produce inferior quality goods/customers may be dissatisfied May not be able to meet demand May need additional factory space/additional storage space

Risk: Cost production increase raw material need extra employees incur additional factory expenses

Overall For and Against: Max Recommendation

END OF ANSWER

Question 25

12 marks

May/June 2025 Paper 22 Question 1 - 12 marks

5.6 Incomplete records

1(a)

Kadima 12 Cash Book

Date	Details	Disc	Cash	Bank	Date	Details	Disc	Cash	Bank
2025	$	$	$	2025	$	$	$		
Mar 1	Balance b/d	50	840	Mar 4	Lee	4	196		
6	Sophiah	9	291	14	Motor expenses	26			
19	Merve	375	22	Mark	10	240			
28	Bank*	400	28	Cash*	400				
9**	450	1506OF	14**	450	1506				
Apr 1	Balance b/d	62	579						

OFOF * for both entries of transfer of cash to bank ** for both totals + for dates

1(b)

$

Cash book balance	579OF
Cash book error (357 - 375)	(18)
Revised cash book balance	561OF

1(c)

For requiring bank transfers and increased cash discount Record keeping would be easier

Benefit: Increase cash discount attract customers sales Most businesses use bank transfers

Risk: Money usually safer bank held cash reduces risk theft fraud No need to visit the bank to pay in cheques Cheques may be returned unpaid Cheques take time to clear

Against requiring bank transfers and increased cash discount Increased cash discount allowed would reduce profitability Bank charges may increase Some customers/suppliers may prefer to deal in cash/cheques some customers may not use bank accounts Employees may prefer to continue to be paid in cash

Overall For and Against: Max Recommendation

END OF ANSWER

Question 26

28 marks

May/June 2025 Paper 22 Question 2 - 28 marks

5.6 Incomplete records

2(a)

Farah and Salma

Appropriation Account for the year ended 28 February 2025

$	$	
Profit for the year	38 175	
Add Interest on drawings Farah	*95	
Salma	**210	305

Less

Interest on capital: Farah	1 040 }		
Salma	1 500 }		
2 540			
Salary - Farah	11 200	13 740	
Profit share: Farah (30%	24 740)	7 422 OF	
Salma (70%	24 740)	17 318 OF	24 740

Key point: Farah 14 250 4% 2 12 95 Salma 5 750 6

2(b)

Farah

Current account

Date	Details	$	Date	Details	$
2025	2024				
Feb 28 Drawings	14 250	Mar 1	Balance b/d	3 450	

Date	Details	$	Date	Details	$
Interest on drawingsOF	95	2025			
Balance c/d	8 767	Feb 28	Interest on capitalOF	1 040	
Salary	11 200				
Share of profitOF	7 422				
Mar 1	Balance b/dOF	8 767			

2(c)

There may be insufficient money in the bank / reduces liquidity Key point: limit drawings stated partnership agreement May damage the relationship between the partners Salma would have to pay interest on drawings

2(d)

Advantages of converting to a limited company Easier to raise capital / finance / loans Shareholders have limited liability Workload / responsibility is shared Profit may increase Farah receives an increase in salary

Key point: Limited company continuity existence separate legal identity Disadvantages of converting to a limited company Farah and Salma would lose control The brothers may have no business experience Increased legal and administrative costs Cash / profit may be reduced to pay salaries/dividends The investment may not be sufficient to fund the expansion

Overall Advantages and Disadvantages: Max

Recommendation

END OF ANSWER

Question 27

20 marks

May/June 2025 Paper 22 Question 3 - 20 marks

5.6 Incomplete records

3(a)

Jasmine

Provision for depreciation of motor vehicles account

Date	Details	$	Date	Details	$
2025	2024				
Apr 1 Balance b/d	7 000				
2025					
Mar 31	Balance c/d	13 750	Mar 31 Income statement *CF or**	6 750	
2025					
Apr 1 Balance b/dOF	13 750				

Key point: 16 000 7 18 27 25% 6 750 2250 4500 1

3(b)

Jasmine

Provision for doubtful debts account

Date	Details	$	Date	Details	$
2025	2024				
Mar 31	Income statementOF	21	Apr 1	Balance b/d	366
Balance c/d	345				
366	366				
2025					
Apr 1	Balance b/d*CF or	345			

Key point: 11 800 300 500 3% 345

3(c)

Jasmine

Rent and Rates account

Date	Details	$	Date	Details	$
2024	2024				
Apr 1	Balance b/d	900	Apr 1 Balance b/d	270	
2025	2025				
Mar 31	Bank	14 960	Mar 31 Income statementOF	14 850	
Balance c/d	185	Balance c/d	925		
Apr 1	Balance b/d	925	Apr 1 Balance b/d	185	

3(d)

Jasmine

Statement of Financial Position as at 31 March 2025

Current Assets	$
Trade receivables (11 800 - 300)	11 500
Less Provision for doubtful debts	345 OF
Other receivables	925

3(e)(i)

Depreciation is charged using the same method each year.

3(e)(ii)

Obtaining credit references / Establishing credit limits Sending invoices and statements promptly Improve credit control / monitoring/investigating/chasing overdue accounts Refusing to supply customers until outstanding amounts have been paid Taking legal action

3(e)(iii)

Matching / accruals

END OF ANSWER

Question 28

20 marks

May/June 2025 Paper 22 Question 4 - 20 marks

5.6 Incomplete records

4(a)

Bilal 11 Journal

Error	Details	Debit	Credit
number	$	$	
1	Cash	185	
Purchases	185		
2	Motor expenses	27	
Bank	27		
3	Bank loan	2000	
Capital	2000		
4	Purchases	168	
Moira	84		
Maya	84		
5	Drawings	130	
Insurance	130		

4(b)

$

Original profit for the year	12 930
Error 1	185
Error 2	(27)
Error 4	(168)
Error 5	130
Draft profit for the year after correcting errors	13 050OF

4(c)

$

Capital at 1 January 2024	6 200
Revised draft profit	13 050OF
Capital introduced	2 000
Less Drawings (11 260 + 130)	(11 390)
Capital at 31 December 2024	9 860OF

END OF ANSWER

Question 29

20 marks

May/June 2025 Paper 22 Question 5 - 20 marks

5.6 Incomplete records

5(a)

Rexford

Purchases ledger control account

Date	Details	$	Date	Details	$

2024	2024					
Dec 31	Bank	}	68 100	Jan 1	Balance b/d	5 680
Discount received	}	380	Dec 31	PurchasesOF	69 900	
Balance c/d (5 680	1.25)	7 100				
2025						
Jan 1	Balance b/d	7 100				

5(b)

Rexford

Income statement for the year ended 31 December 2024

$	$	
Revenue (69 500	1.5)	104 250OF

Cost of sales

Opening inventory	6 000		
Purchases	69 900 OF		
Less Closing inventory	6 400	69 500OF	
Gross profit	34 750OF		
Discount received	380		

Rent and insurance (10 120 + 300)	10 420		
General expenses	4 730		
Wages	6 400		
Depreciation on fixtures and fittings (20%	28 000)	5 600	27 150
Profit for the year	7 980OF		

5(c)

21 750 + 104 250OF - 103 200 = 22 800OF* Key point: Opening trade receivables Revenue Receipts sales Closing

5(d)

For employing a bookkeeper More reliable records / more reliable records / less errors More up-to-date figures available, e.g. bank, trade receivables, trade payables Time freed up for other tasks

Key point: Payments trade payables monitored cash discount claimed Key point: detailed records available reference purposes easier prepare financial statements Against employing a bookkeeper The salary would lower profit / increases expenses There would be a reduction in cash/liquidity.

Key point: money better spent elsewhere new fixtures fittings The book-keeper will not prepare the financial statements

Overall For and Against: Max

Recommendation

END OF ANSWER

Question 30 **20 marks**

Oct/Nov 2025 Paper 22 Question 1 - 20 marks

5.6 Incomplete records

1(a)

Zac Cash book - bank columns

Date	Details	$	Date	Details	$
March 31	Balance b/d	825	March 23	Electricity	936
20	Zoe	310	25	Bank charges	58
30	Interest	45	31	Balance c/d	186
1180	1180				
April 1	Balance b/d	186OF			

+ for dates

1(b)

Zac

Bank reconciliation statement at 31 March 2025

$	$	
Balance shown on bank statement	(1 665)	
Add:	Amounts not yet credited - cash and cheques	1 210
Bank error	1 121	2 331
666		
Less:	Amounts not yet presented - AC Motors	(480)
Balance shown on updated cash book	186OF	

Alternative presentation

Balance shown on updated cash book	186OF	
Add:	Amounts not yet presented - AC Motors	480
666		
Less:	Amounts not yet credited - cash & cheques	1 210

Bank error	1 121	(2 331)
Balance shown on bank statement	(1 665)OF	

1(c)

Advantages (Max 3) Identifies stale cheques sooner Errors in the cash book identified sooner

Errors on the bank statement identified earlier

Amounts not credited/presented can be identified earlier

Accurate bank account balance available more regularly

Deters / may reduce fraud

Disadvantages (Max 3) Time consuming / increased workload More costly More transactions to record/completed more frequently The cash book needs to be updated more often

Recommendation

1(d)

A cheque is returned unpaid by the bank / which the bank refuses to pay

1(e)

Zac Journal

Details	Debit	Credit
$	$	
Ali	128	
Bank	128	

END OF ANSWER

Question 31

20 marks

Oct/Nov 2025 Paper 22 Question 2 - 20 marks

5.6 Incomplete records

2(a)(i)

Suspense

2(a)(ii)

Allows draft financial statements to be prepared / provides a holding account until errors are discovered

2(b)

Jaya Journal

Error no	Details	Debit	Credit
$	$		
1	Distribution costs	320	
Bank	320		
2	Inventory	0	
Suspense	0		
3	Suspense	190	
Sales returns	95		
Purchases returns	95		
4	Suspense	225	
ABC Wholesalers	225		
5	Property maintenance	1 220	
Land & Buildings	1 220		

2(c)

Commission Complete reversal Omission Original entry Principle Compensating

2(d)

Profit for the year

Error	Overstated	Understated	No effect
$	$		
1	320		
2	700		
3	190		
4	0		
5	1220		

(2 Marks) = for correct position for correct amount

END OF ANSWER

Question 32

20 marks

Oct/Nov 2025 Paper 22 Question 3 - 20 marks

5.6 Incomplete records

3(a)

$

Cost	80 000
Depreciation for the year ended 30 April 2022	16 000
Net Book Value	64 000
Depreciation for the year ended 30 April 2023	12 800
Net Book Value	51 200
Depreciation for the year ended 30 April 2024	10 240OF
Net Book Value	40 960
Depreciation for the year ended 30 April 2025	8 192OF
Net Book Value	32 768

3(b)

Advantages (Max 1) Matches cost with revenue

Benefit: Appropriate greater benefits gained non current assets early years Key point: provide reliable depreciation net book value asset non current Disadvantages (Max 1)

Key point: Depreciation recalculated year complicated calculate Risk: charge against profits greater early years non current asset life

3(c)

$

Cost	80 000	
Depreciation for the year ended 30 April 2022	16 000	
Depreciation for the year ended 30 April 2023	12 800	
Depreciation for the year ended 30 April 2024	10 240	(39 040)
Net Book Value at 01 May 2024	40 960	
Sale proceeds	35 000	

Loss on disposal	5 960	

3(d)(i)

Ahmed

Motor vehicles account

Date	Details	$	Date	Details	$
2021	2025				
Oct 1	Bank	80 000	Feb 1	Disposal	80 000

3(d)(ii)

Ahmed

Disposal of motor vehicles account

Date	Details	$	Date	Details	$
2025	2025				
Feb 1	Motor	80 000	Feb 1	Provision for	39 040OF
Vehicles	depreciation				
Cash	35 000				
April 30	Income	5 960OF			

statement

3(e)

Advantages (Max 3) Saving on hire costs Improve revenue / profit

Risk: risk he trialled hired short period Increases non-current assets

Disadvantages (Max 3)

Risk: larger recovery vehicle cost smaller Hire costs will have to be paid for six months Interest charges on loan

Key point: Bank agree loan require some form security loans repaid Proceeds from sale may have been used elsewhere

Recommendation

END OF ANSWER

Question 33

20 marks

Oct/Nov 2025 Paper 22 Question 4 - 20 marks

5.6 Incomplete records

4(a)

Ratio	Improved or Deteriorated	Possible reasons for the change
Return on Capital	Deteriorated	Introduction of additional capital/loans
Employed (ROCE)	Profit for the year decreased.	
Gross margin	Improved }	Sold goods at higher prices

Bought goods at cheaper prices Improved rate of trade discount received

[redacted]

Other income decreased Percentage of expenses to revenue increased Decreased sales volume / revenue

[redacted]

turnover (times)	Less goods purchased / lower closing inventory	

Reduced selling prices leading to higher sales

[redacted]

ratio	Decreased trade receivables / bank /cash	

4(a)

Ratio	Improved or Deteriorated	Possible reasons for the change

Return on Capital Employed (ROCE)

Gross margin	Deteriorated	Sold goods at lower prices

Bought goods at higher prices Lower rate of trade discount received

[redacted]

Other income increased Percentage of expenses to revenue decreased Increased sales volume / revenue

[redacted]

turnover (times)	More goods purchased / higher closing inventory	

Increased selling prices leading to lower sales

Liquid (acid test)	Improved	Decreased trade payables / current liabilities
ratio	Increased trade receivables / bank /cash	

Key point: Please note Own Rule applies question

4(b)

A Limited

Provision for doubtful debts account

Date	Details	$	Date	Details	$
2024					
April 1	Balance b/d	6 920			
2025	2025				
March 31	Balance c/d	11 970	March 31	Income statement	5 050OF
2025					
April 1			Balance b/d		11 970

4(c)(i)

It is an estimate of the amount which a business will lose in a financial year because of irrecoverable debts.

4(c)(ii)

Prudence OR Matching

4(d)

In favour of delaying payment to trade payables (Max 3) Able to purchase the equipment at a cheaper price No finance costs No need to source other methods of finance No security required

Against delaying payment to trade payables (Max 3) Damage supplier relations / not supply goods Increased interest payments Loss of any cash discounts

Key point: sufficient cash available pay equipment Other sources of finance available

Recommendation

END OF ANSWER

Question 34

20 marks

Oct/Nov 2025 Paper 22 Question 5 - 20 marks

5.6 Incomplete records

Answer

5(a)

GH Company 13

Manufacturing Account for the year ended 31 March 2025

Cost of materials consumed	$	$
Opening inventory	21 700	*
Purchases	280 050	
301 750		
Less closing Inventory	16 400* both	
285 350		
Operatives wages	241 200	
Prime cost	526 550OF	

Factory Overheads

Factory Supervisors salaries	48 240	
Rent and rates (10 060	60%)	6 036
Electricity charges (9 344 / 8 * 5)	5 840	
Insurance (18 400	50%)	9 200
Factory General expenses	27 640	
Depreciation of machinery (427 000 - 187 000)	15%	36 000
132 956		
659 506 OF		

Work in Progress

Opening Work in Progress	83 440	**
742 946		

Closing Work in Progress	92 510** both	
Cost of Production	650 436 OF	

5(b)

GH Company

Key point: Trading section Income Statement year ended 31 March 2025

	$	$
Revenue		1 107 272

Cost of sales

Opening inventory finished goods	76 370	*
Cost of production	650 436OF	
Purchases of finished goods	122 430	
Carriage in	2 242	

851 478

Less closing inventory of finished goods	49 660*	(801 818)OF

both

Gross profit		305 454OF

END OF ANSWER

Question 35 **20 marks**

Oct/Nov 2025 Paper 23 Question 1 - 20 marks

5.6 Incomplete records

1(a)

12

Date	Details	Total Date	Details	Total	Cleaning	Fuel	Office	Travel
received	paid	expense	expense	a				
2025	$	2025	$	$	$	$	$	
Apr 1 Balance	350.00	Apl 3	Fuel	36.00	36.00			
4	Tea, coffee, juice	34.00	34.00					
9	Taxi fare	24.00	24.00					
11	AB Autoparts	78.00	78.00					
263.50	75.00	36.00	42.00	32.50				
______	Balance c/d	86.50						
350 00	350 00							
2025								
May1 Balance b/dOF	86.50							
BankOF	263.50							

Dates

1(b)

Imprest

1(c)

Max 1 Risk: Reduces number entries cash book general ledger Reduces the possibility of theft/fraud Provides training for junior employees Reduces the workload of the chief cashier

1(d)

Max 2 Overpayment/underpayment by petty cashier Missing petty cash voucher/petty cash voucher not recorded Error in recording entry in petty cash book Fraud/theft

1(e)

Sid Journal

Details	Debit	Credit
$	$	
Drawings	1 500	
Bank	1 500	
Purchases	664	
AB Autoparts	664	

END OF ANSWER

Question 36

20 marks

Oct/Nov 2025 Paper 23 Question 2 - 20 marks

5.6 Incomplete records

2(a)

Jenny

Sales ledger control account

Date	Details	$	Date	Details	$
2025	2025				
Feb 1	Balance b/d	1 895	Feb 28 Sales returns	7 300	
Interest charged	510	Discount allowed	1 265		
Balance c/d	750	Irrecoverable debts	1 040		
Contra entries	2 850				
2025					
Mar 1 Balance	750				

Dates

2(b)

Max 1 Book-keeping can be divided between several members of staff

Key point: Detail removed general ledger removes sales Useful for the preparation of control accounts Provides total of credit sales Useful for collating and summarising information about credit sales

2(c)

Book of prime entry	Source document	Issued or received
Sales journal	Invoice	Issued Row
Purchase returns journal	Credit note	Received Row

2(d)(i)

An allowance given when an account is settled within a specified time period

2(d)(ii)

A reduction in the list price of goods/allowance to encourage bulk buying

2(e)

Debit note

2(f)

Arguments for creating a provision for doubtful debts Key point: Profit year overstated expenses understated Key point: Trade receivables shown realistic overstated current assets Applies the principle of matching/accruals Applies the principle of prudence

Arguments against creating a provision for doubtful debts

Key point: Provision estimate accurate ensure customer pay May be difficult to estimate the amount of doubtful debts Has to be re-calculated each year/ time consuming

Risk: Profit year reduced expenses increased larger impact profit first Recommendation

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END OF ANSWER

Question 37

20 marks

Oct/Nov 2025 Paper 23 Question 3 - 20 marks

5.6 Incomplete records

Answer

3(a)

Return on Capital employed (ROCE)

=	100
223100 + 49 000 272100	

Rate of inventory turnover

30 000 + 310 000 - 34 000 306 000 } 1	9.56 timesOF

=

(34 000 + 30 000/)2	32000 }

Trade receivables turnover (days)

365 387 000

Trade payables turnover (days)

31000	37 days
365	
310 000	

Current ratio

3(b)(i)

Max 2 raise profit for the year/reduce expenses Reduce capital/increase drawings/withdraw capital Repay long-term loan/reduce long term liabilities

3(b)(ii)

Max 2 Increase quantity sold/ increase demand/start marketing campaign/make special offers Reduce selling prices/increase trade discount allowed to customers More efficient stock control/purchase less inventory/‘just in time’ purchasing

3(c)(i)

Inventory should be valued at the lower of cost or net realisable value

3(c)(ii)

Prudence

3(c)(iii)

Effect on Rushil’s gross profit

Increase	Decrease

YES

3(d)

Arguments for offering a cash discount Benefit: improve cash flow money available use within encourage customers pay quicker May improve relationship with customer/improve customer loyalty May improve sales/attract more customers May reduce irrecoverable debts

Arguments against offering a cash discount

Increase expenses/lower profit for year/lower profit margin Less cash received on each sale No guarantee customers will pay in the time specified Does not necessarily reduce irrecoverable debts May be time consuming to monitor Book-keeping more time-consuming

Key point: Customer deduction 2 5% discount they pay within required timescale Recommendation

END OF ANSWER

Question 38

20 marks

Oct/Nov 2025 Paper 23 Question 4 - 20 marks

5.6 Incomplete records

4(a)

Talula

Income statement for the year ended 30 September 2025

$	$	
Income from hairdressing	124 700	
Rent receivable (6400 + 1280)	7 680	
132 380		
Less Salaries	81 500	}
Electricity charges	23 500	}
Water charges	4 150	}
General expenses	952	}
Insurance (2 067/13	12)	1 908

Property tax (3 045//15	12)	2 436	114 446
Profit for the year	17 934OF		

4(b)

Suggested course of action	Impact on the business
Increase service prices	Reduce number of customers
Change electricity supplier	May be time consuming OR

May not be able to get a cheaper supplier

[redacted]	[redacted]

Dissatisfied tenant

Reduce opening hours/hours worked by hairdressers	Cannot maintain current level of income OR

Damage relationship with employees/customers

Risk: Reduce employee rates pay staff numbers Employees happy leave Quality of service reduced if fewer staff Or other relevant courses of action and impact

Key point: Identify 2 courses action identifying course impact

4(c)

Arguments for accepting card payments Benefit: Meet customer needs convenient customers options payment improve relationship Increased sales/increased customers Lower amount of cash held on premises/reduced risk of theft Reduced administration costs/saves time in counting cash Hairdressers may save time

Arguments against accepting card payments

Reduction in profit because of rental fee and transaction charge Must consider cost of purchasing cash register Staff may need training Customer numbers may not increase

Recommendation

4(d)

Max 3 Additional finance available Additional skills and knowledge included in the business Sharing of responsibilities Risks are shared Losses are shared

4(e)

Max 3 Amount of capital invested by each partner

Key point: interest capital paid what rate Key point: partners salaries paid what If an upper limit placed on partners drawings

Risk: interest drawings charged what rate Rate at which interest on partners’ loans will be paid Responsibilities of each partner

END OF ANSWER

Question 39

20 marks

Oct/Nov 2025 Paper 23 Question 5 - 20 marks

5.6 Incomplete records

5(a)(i)

Money spent on purchasing, improving or extending non-current assets

5(a)(ii)

Money spent on day to day running a business

5(a)(iii)

Money received from a source other than normal trading activities

5(a)(iv)

Money received by a business from normal trading activities

5(b)

capital	revenue	capital	revenue

Item

expenditure	expenditure	receipt	receipt
Delivery charges for new office equipment	YES		
Repairs to the roof of an existing building	YES		
Painting of a new extension to the factory	YES		
Proceeds from the sale of a motor vehicle	YES		

5(c)

P Limited

Statement of Changes in equity (retained earnings)

for the year ended 30 June 2025 $

Balance at 1 July 2024	46 220 }
Profit for the year	37 350 }
Dividend paid (interim)	(36 400)
Transfer to general reserve	(8 000)
Balance at 30 June 2025	39 170OF

5(d)

P Limited

Statement of Financial Position at 30 June 2025

$	$	$
Cost	Provision f or	Net Book
depreciation	Value	

Non-current assets

Land and buildings	205 000	205 000	
Equipment	59 600	11 324	48 276 }
Vehicles	83 000	23 030	59 970 }
347 600	34 354	313 246OF	

Current assets

Inventory	33 000	
Trade receivables	57 040	
Less Provision for doubtful debts	2 282	54 758
Cash	2 100	89 858OF
Total assets	403 104	

Equity

Ordinary share capital	230 000
General reserve (16 300 + 8000)	24 300

Retained earnings	39 170OF
293 470	

Non-current liabilities

6% Debentures	32 000	
Bank loan	22 000	54 000

Current liabilities

Trade payables	44 890	
Other payables	5 700	
Bank overdraft	5 044	55 634OF
Total equity and liabilities	403 104	

END OF ANSWER